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Manorama Industries

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INITIATING COVERAGE | **MANORAMA IN EQUITY** | **December 03, 2025**

Seeded by nature

Manorama is the only company globally to offer specialty oil/fat from a basket of exotic seeds, and the largest in India to supply CBE (cocoa-butter-equivalent) to the world. Profits clocked 36% CAGR in the last five years and expected to record 40% CAGR over FY25-28E, led by: i) growing opportunity in specialty fats/oil (global: 5% CAGR), ii) capacity expansion by >2x over FY25-28E, iii) entry into untapped market of LatAm. Market is concerned about falling cocoa price; but we find confidence in the large addressable market of specialty oil/CBE (US$15.5bn/US$1.4bn). Sustainable EBITDAM/RoCE/RoE appear to be ~25%/25%/30%. At 27x FY28E P/E, stock prices in 20% revenue growth over the next decade. We expect 37% growth in FY25-28 and 29% next decade, and value the stock at ₹1774 (35x FY28E P/E). Key risks: supply chain volatility in agro-commodities and unstable regulatory framework in Africa.

Competitive position: MEDIUM Changes to this position: POSITIVE

Moat: Product + process + supply chain

Largest CBE manufacturer in India with indigenous process catering to global majors like Ferrero, Mondelez and Barry Callebaut across chocolate, confectionary and personal care applications. Supply chain is built from ground up and creates a strong barrier to entry. Its ability to sell byproducts reduces cost of production, which is a key advantage vs global peers.

Sticky demand: Look beyond cocoa price volatility

Our analysis suggests 25% sustainable EBITDA margin in a normalized environment (1HFY26: 27%). Based on channel checks, we don't see market stepping back to cocoa as mass market customers (~75% share) have reformulated and unlikely to step back since formulation works with better efficacy. Entry into HoReCa/food ingredients improves the addressable market.

Seasonal inputs inflate working capital

Working capital is seasonal and hence appears volatile in the event of capacity addition. Manorama's next leg of fractionation capacity expansion of 45KT in FY28 utilizes existing olein output to convert into CBE, thus reducing reliance on raw material. Stable working capital in the next leg would increase cash flows.

Opportunity + sustainable RoCE => valuation

Manorama trades at 27x FY28E, factoring in 20% revenue growth over the next decade. Stock trades in-line with specialty chemicals/functional food additive peers but provides superior earning growth visibility at 40% CAGR over FY25-28. We expect growth outlook to improve with LatAm scale-up, capacity expansion and entry into product adjacencies. Valuation will be supported by consistent positive spread of RoIC over WACC over the next decade.

Key Financials

Year to March (₹ mn)	FY24	FY25	FY26E	FY27E	FY28E
Revenue	4,571	7,708	12,041	15,679	19,795
Gross margin	45.3%	48.4%	48.5%	47.0%	47.0%
EBITDA margin	16.1%	24.2%	26.2%	24.7%	24.7%
Net profit margin	8.8%	14.2%	16.7%	15.3%	15.1%
pre-tax RoCE	13.3%	22.7%	26.4%	23.3%	23.5%
EPS (basic) (₹)	6.7	18.4	34	40	50

Source: Company, Ambit Capital research

Chemicals

Recommendation

Mcap (bn):	₹79/US$0.9
6M ADV (mn):	₹234/US$2.7
CMP:	₹1,334
TP (12 Mths):	₹1,774
Upside (%):	33

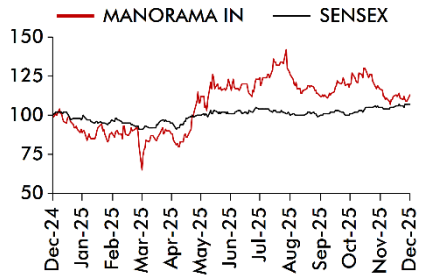
Flags

Accounting:	AMBER
Predictability:	AMBER
Earnings Momentum:	GREEN

Catalysts

- Ramp-up in LatAm market to improve CBE share in the revenue mix in FY27 to 34%.
- Brownfield capacity expansion to enhance revenue growth visibility for FY27 to 30%.

Performance



Source: ICE, Ambit Capital Research

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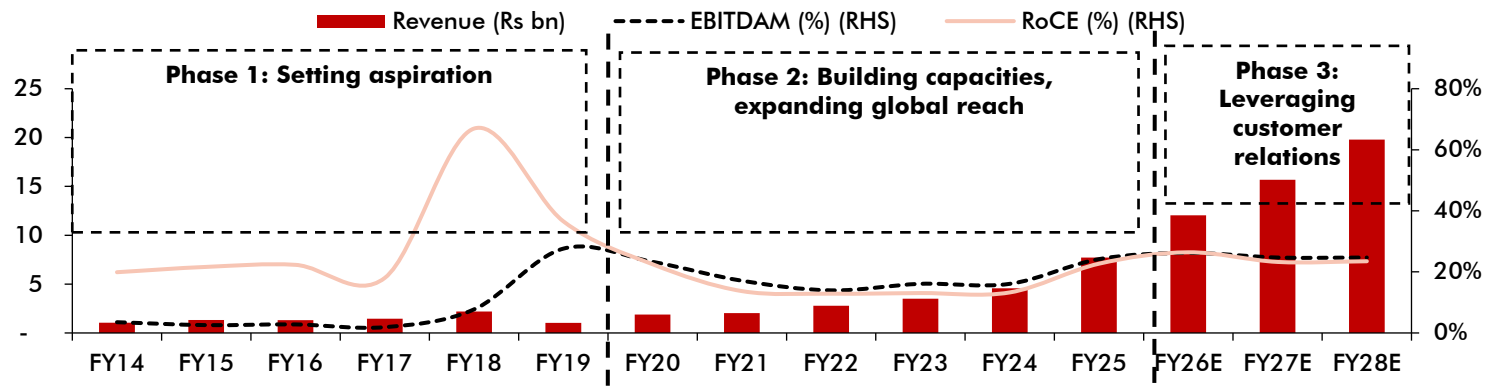
Narrative in charts

Exhibit 1: Next leg of growth will focus on entry into new geographies



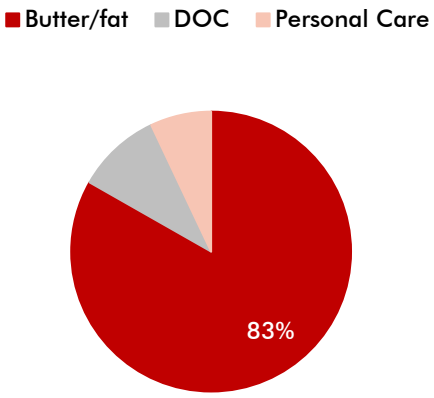
Source: Company, Ambit Capital research

Exhibit 2: Quick ramp-up of capacities needed consistent expansion

Capacity	FY20	FY21	FY22	FY23	FY24	FY25	FY26E	FY27E	FY28E
Milling	60	60	60	60	90	90	90	90	90
Solvent extract			0	90	90	90	90	90	90
Refinery	15	15	15	15	45	45	45	45	45
Interesterification/Deod	15	15	15	15	30	30	30	30	30
Fractionation	15	15	15	15	15	40	40	52	97*

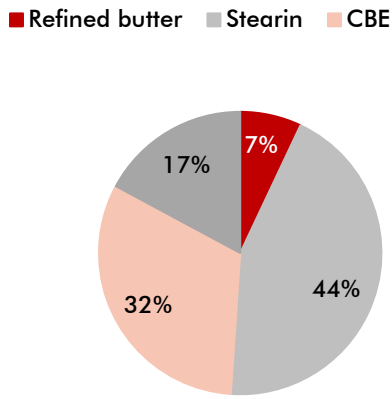
*Source: Company, Ambit Capital research; *only fractionation capacity indicated*

Exhibit 3: Food application is the dominant share of business



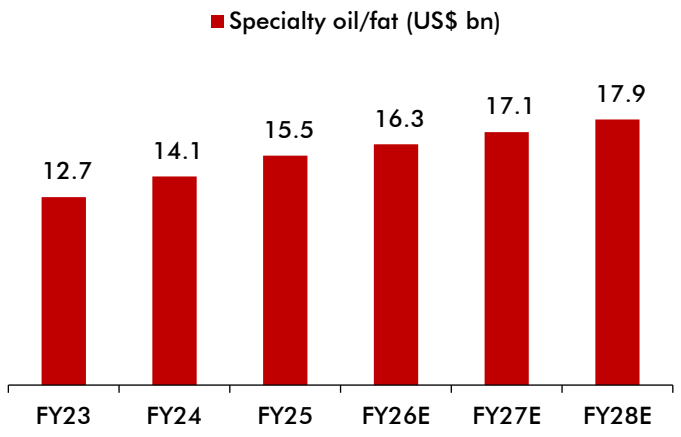
Source: Company, Ambit Capital research

Exhibit 4: CBE to form 40% of butter/fat revenue by FY28E



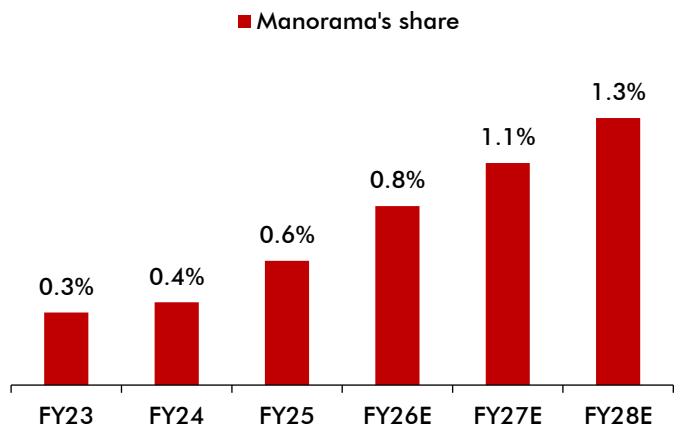
Source: Company, Ambit Capital research

Exhibit 5: Global specialty fat/oil is growing at 5% p.a...



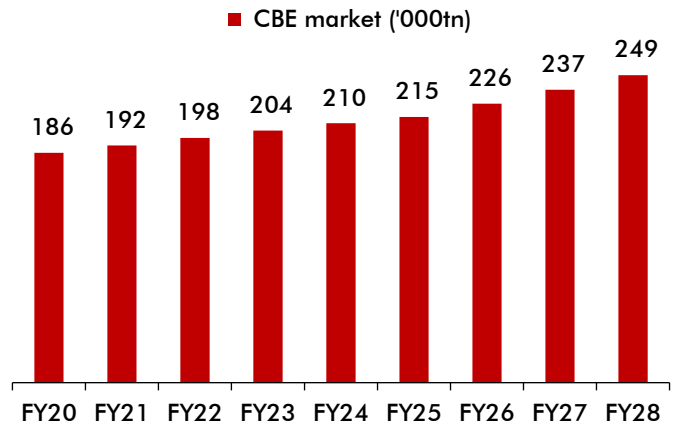
Source: Industry, Ambit Capital research

Exhibit 6: ...vs Manorama's revenue pace of 37% CAGR



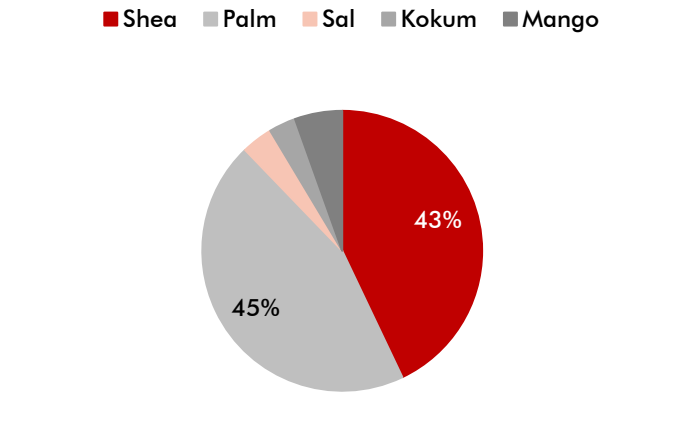
Source: Ambit Capital research

Exhibit 7: CBE market is growing at 5% CAGR



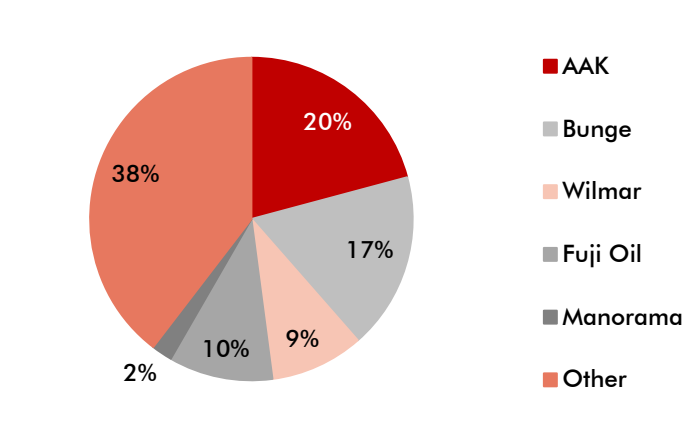
Source: Industry, Ambit Capital research

Exhibit 8: Palm and shea are primary sources of CBE



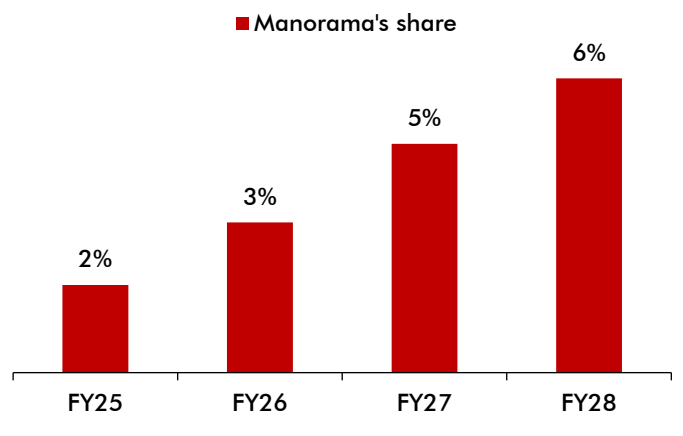
Source: QY research, Ambit Capital research

Exhibit 9: Top-4 players account for ~50% of CBE market



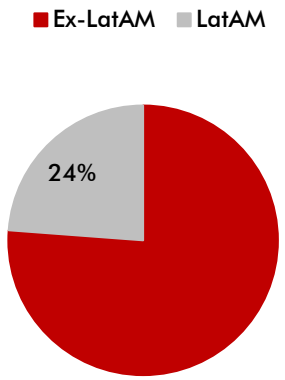
Source: Industry, Ambit Capital research

Exhibit 10: Manorama's CBE business to get a leg-up in FY27E with LatAm ramp-up



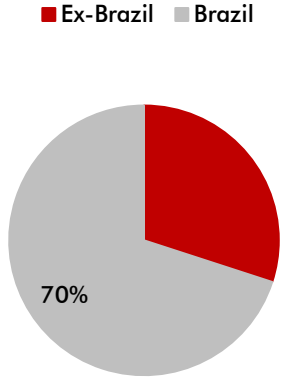
Source: Ambit Capital research

Exhibit 11: LatAm accounts for ~25% of global CBE demand



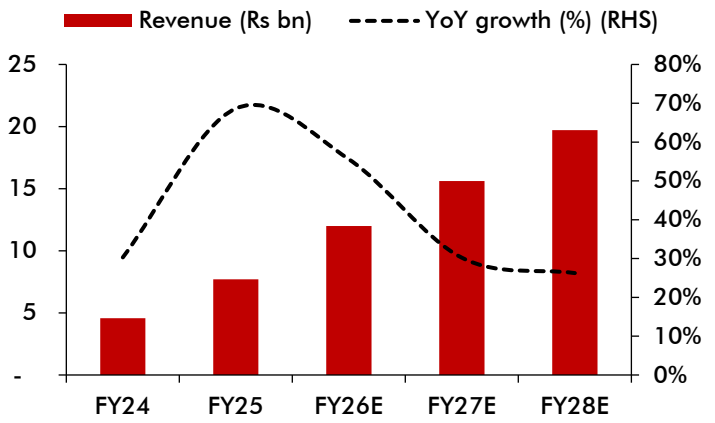
Source: Industry, Ambit Capital research

Exhibit 12: Brazil accounts for ~70% of the LatAm market



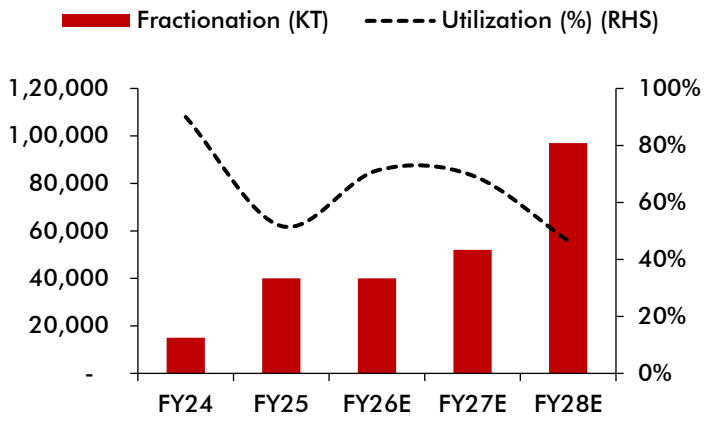
Source: Industry, Ambit Capital research

Exhibit 13: Expect business to continue growth momentum...



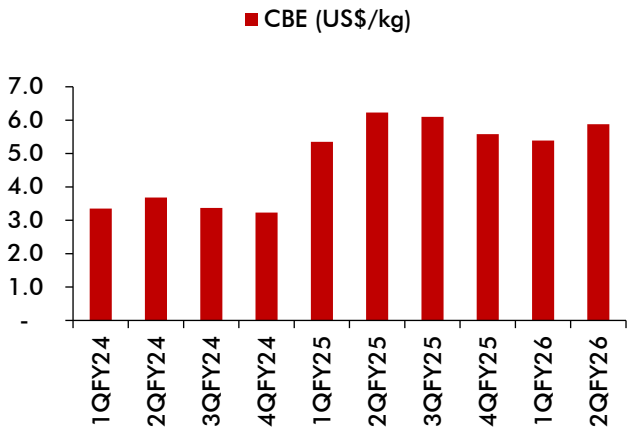
Source: Company, Ambit Capital research

Exhibit 14: ...supported by consistent capacity addition and available market opportunity in LatAm



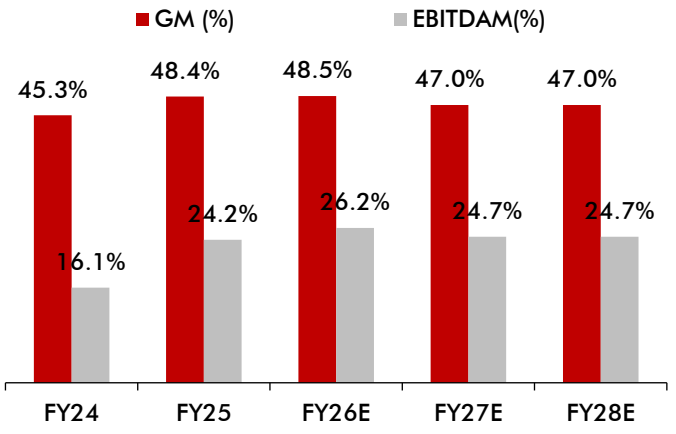
Source: Company, Ambit Capital research

Exhibit 15: CBE prices see moderation in FY26



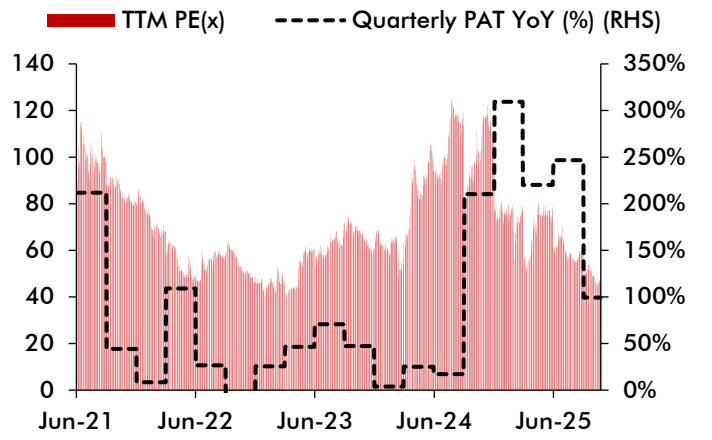
Source: Volza, Ambit Capital research

Exhibit 16: EBITDAM of 25% appears sustainable



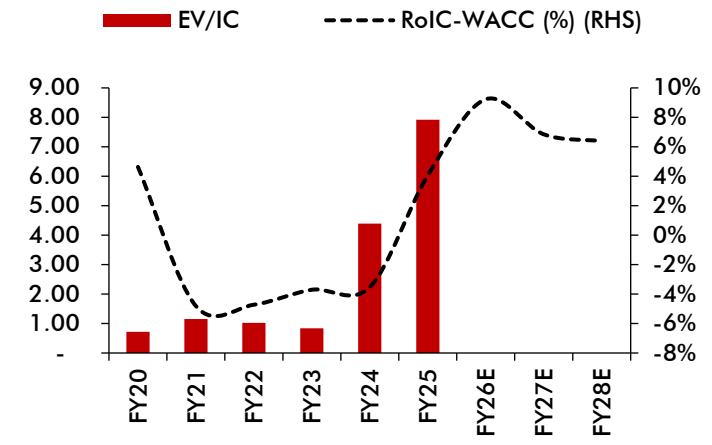
Source: Company, Ambit Capital research

Exhibit 17: Trades at 45x TTM P/E



Source: Bloomberg, Company, Ambit Capital research

Exhibit 18: Value creation over the last two years supported by RoIC expansion



Source: Company, Ambit Capital research

Exhibit 19: We are building 37% growth over FY25-28

Assumptions	FY20-25	FY25-28	FY25-40
Sales CAGR	33%	37%	29%
EBITDA CAGR	34%	38%	29%
Wcap/sales	75%	67%	60%
Capex/GB - median	40%	35%	16%
Capital turnover - median	0.9	1.1	1.2
EBITDAM - median	16.6%	24.7%	24.7%
Cost of Equity			14%
WACC			12%
Terminal growth			6%

Source: Company, Ambit Capital research

Exhibit 20: TP implies 35x FY28E P/E

Output	PV
Total PV of FCFF	24,839
Terminal Value	86,936
Enterprise Value	111,775
Net debt	6,073
Equity value	105,703
Share Price	**1,774**
Implied P/E FY28	35

Source: Company, Ambit Capital research

Exhibit 21: Global leaders are too large to focus on micro-markets individually

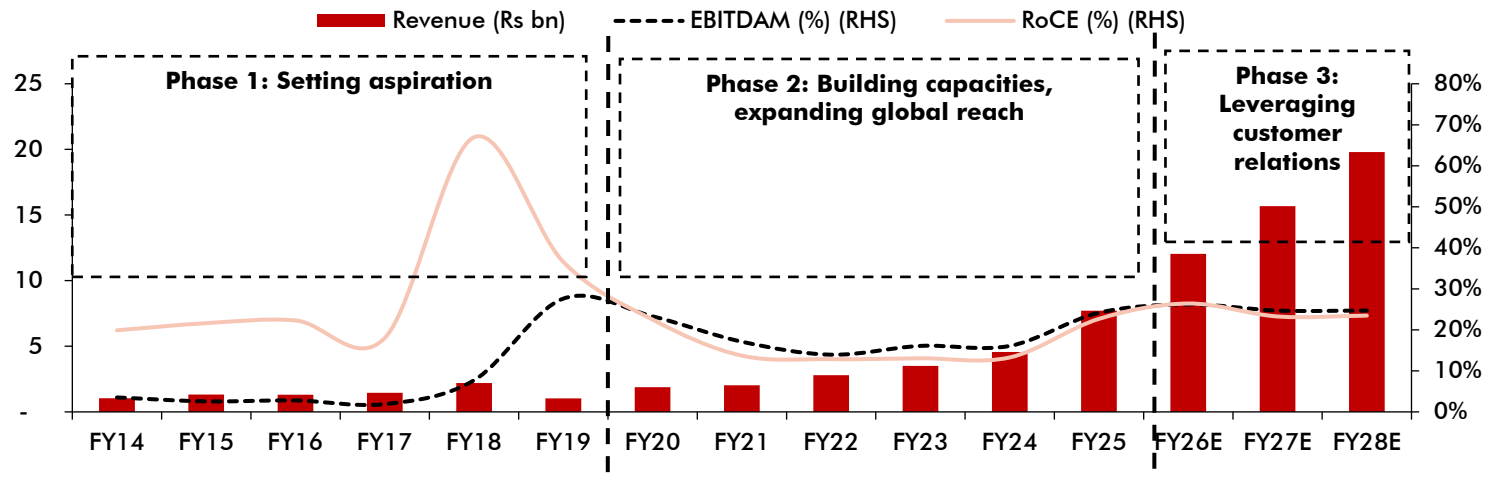
	AAK	Bunge	Fuji Oil	Manorama Ind.
Business	Revenue at US$4.3bn in CY24.	Revenue at US$53bn in CY24.	Revenue at US$3.9bn in CY24.	Revenue at US$91mn in FY25.
RoCE/EBITDAM (3Y median)	19%/11%	17%/5%	5%/7%	13%/16%
Main segment	Fat-based ingredients to the bakery, dairy, foodservice and special nutrition industries. Key raw materials include palm oil, rapeseed oil, and coconut oil.	Soybean processing and refining account for more than 50% of the business.	The industrial segment includes compound chocolates (solid/liquid) used in bakery and confectionery.	Specialty oil and fat from exotic seeds, primarily Sal, Shea, and mango.
Outlook	Challenging market environment and elevated chocolate prices. CBE is witnessing good traction. CBE will remain cost-competitive against cocoa butter.	CBE is functionally superior, and demand is structural and not tactical. Focus on premium markets.	CBE will continue to have a price advantage. Demand is shifting from pure chocolate to compound chocolate. Stagnant chocolate consumption due to rising cocoa prices.	CBE market is in short supply. Expect growth momentum to continue, supported by capacity expansion and entry into new markets.

Source: Company, Ambit Capital research, All except Manorama N/R

Going global, building brand

Manorama Industries Limited, established in 2005, is a global manufacturer of specialty fats, butters, and exotic plant-based ingredients. The company holds a unique position as the only manufacturer of all exotic seed-based fats in the world. It specializes in Cocoa Butter Equivalents (CBEs) and specialty fats derived from tree-borne seeds such as Sal seeds and Mango kernels (sourced from India), and Shea nuts (sourced from West African countries, including Ghana, Burkina, Togo, Benin, and Nigeria). The company provides customized solutions to prestigious global clientele, including Fortune 500 companies such as Ferrero, Mondelez, and Nestlé, across the chocolate, confectionery, and cosmetic industries. The integrated manufacturing facility is located in Birkoni (Chhattisgarh) at a 30-acre land parcel. Key capacities include seed milling and solvent extraction capacity of 90KT and solvent fractionation capacity of 40KT.

Exhibit 22: Exploring global opportunities and strengthening the supply chain – RoCE stabilizes

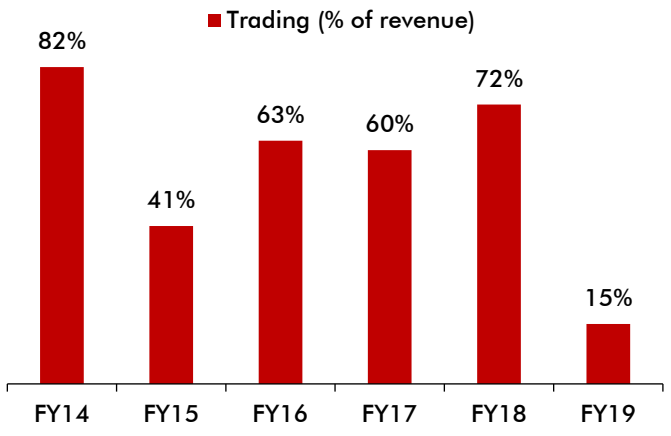


Source: Company, Ambit Capital research

Phase 1: Setting aspirations (FY14-19)

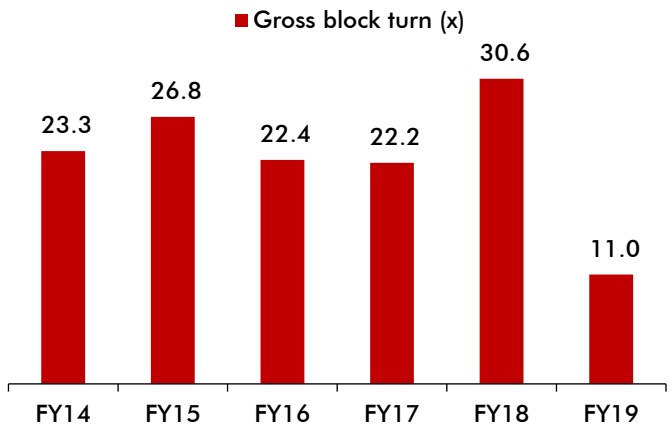
Constrained by capital, Manorama operated a small refining capacity of 4,500tn under a distributed setup with its own refining facility at Nagpur and outsourced the solvent extraction process to third-party service providers in Chhattisgarh. It relied on a dry-fractionation process, which is a low-cost process and produces low-quality stearin. Non-economical capacity and outsourced operations reflect weak operating margins. However, RoCE was high during this period due to a) outsourced setup, b) lower inventory requirements as business depended on locally sourced sal/mango seeds, and c) high dependency on trading activities (60-70% of revenue). Manorama raised ₹640mn in 2018 through its IPO on the SME platform. IPO involved issuance of ~34mn shares at FV of ₹10. Shares were listed at ₹188/share on 4th Oct, 2018. Manorama is to set up the integrated greenfield facility at Birkoni (Chhattisgarh).

Exhibit 23: Trading revenue came down in FY19 as focus shifted to manufacturing



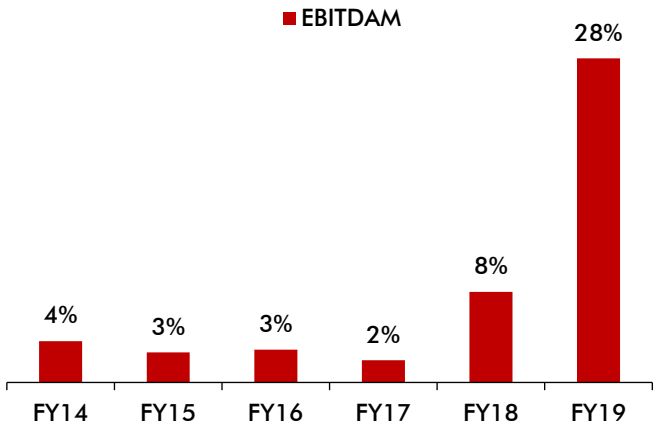
Source: Company, Ambit Capital research

Exhibit 24: High share of trading revenue inflated gross block turns



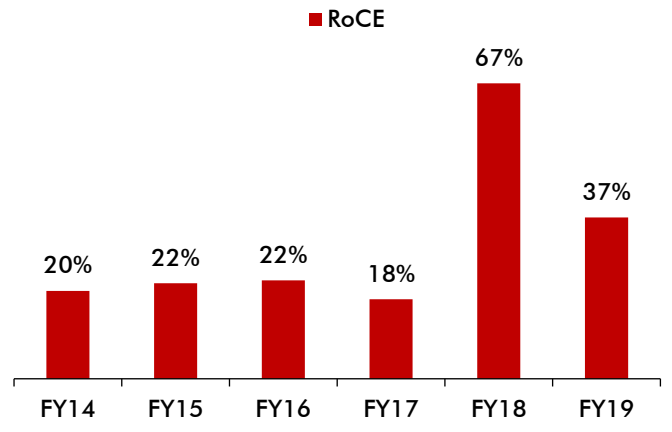
Source: Company, Ambit Capital research

Exhibit 25: Margins improved as manufacturing stepped up



Source: Company, Ambit Capital research

Exhibit 26: RoCE starts to fall with a step-up in manufacturing



Source: Company, Ambit Capital research

Phase 2: Building capacities and expanding reach (FY20-25)

Manorama Industries Limited executed capacity expansion and integration efforts from FY20 to FY25. Business transformed to meet the global demand for specialty fats. The greenfield Birkoni manufacturing complex started commercial production in FY20. Strategic investments, partly funded by a ~₹100 crore preferential allotment (at ₹1,264/share), boosted capacity. Key capacities included commissioning a 90,000 MTPA Solvent Extraction Plant in FY23 and completing a 30,000 MTPA Refinery expansion. In FY25, the new 25,000 TPA Fractionation Plant was commercialized, bringing total fractionation capacity to 40,000 TPA. Revenue/EBITDA/PAT grew 33%/34%/36% over FY20-25, aided by a) capacity expansion and b) step-up in exports. Capital turn moderated to 0.9x in FY25 from 1.2x in FY19 as new fractionation capacity came online, working capital intensity stepped up due to seasonality in raw material availability.

Birkoni facility has an in-house MILCOA Research & Development centre, recognized by the Government of India's Department of Scientific & Industrial Research. The R&D team is led by Dr. Krishnadath Bhaggan, who has 3 decades of experience with global leaders such as Loders Croklaan and Unilever.

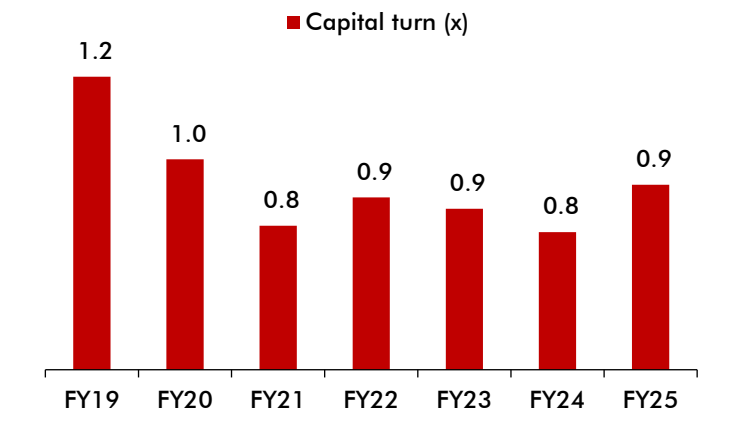
Manorama listed on BSE/NSE mainboard in Juy'21/July'22. Board of directors approved share split (1:5) in Feb'24.

Exhibit 27: Quick ramp-up required two expansions over the last six years

Capacity (KT)	FY20	FY21	FY22	FY23	FY24	FY25
Milling	60	60	60	60	90	90
Solvent extract			0	90	90	90
Refinery	15	15	15	15	45	45
Interesterification	15	15	15	15	30	30
Fractionation	15	15	15	15	15	40

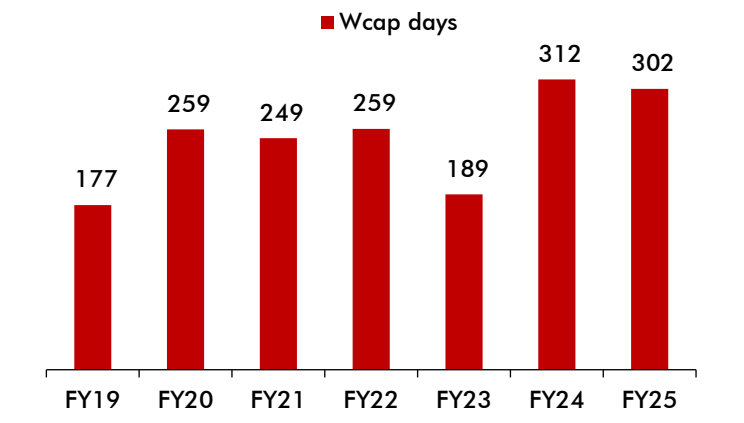
Source: Company, Ambit Capital research

Exhibit 28: Capacity expansion weighed on capital turns...



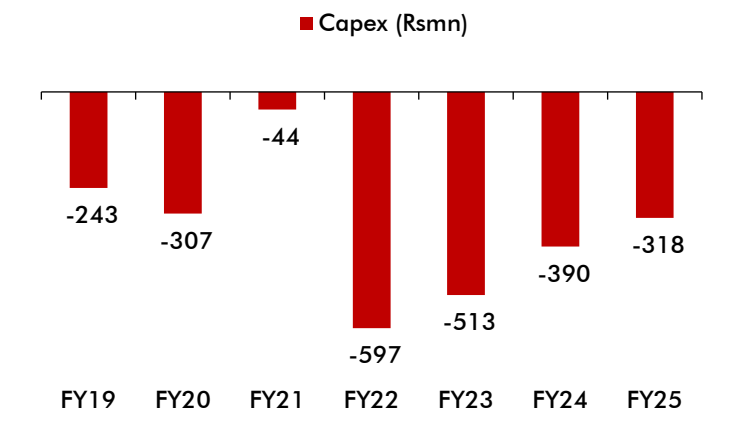
Source: Company, Ambit Capital research

Exhibit 29: ..as expanded capacity required a higher RM



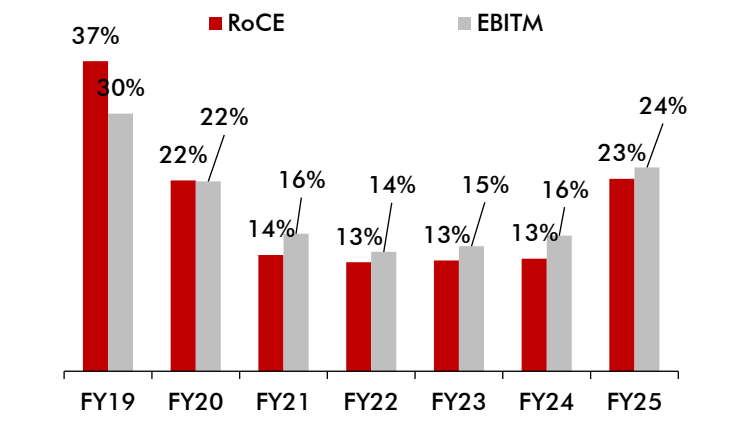
Source: Company, Ambit Capital research

Exhibit 30: First leg of expansion in FY19-20 post IPO; total gross block at ₹2.4bn



Source: Company, Ambit Capital research

Exhibit 31: RoCE begins to step up with an improvement in profitability as product mix improves

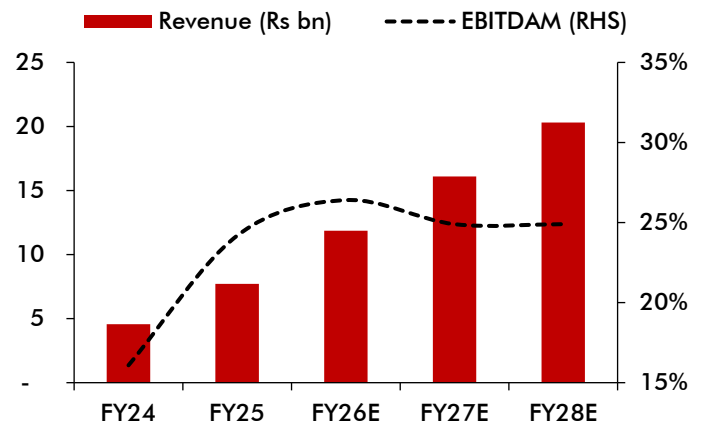


Source: Company, Ambit Capital research

Phase 3: Leveraging skill and capability in a wider market

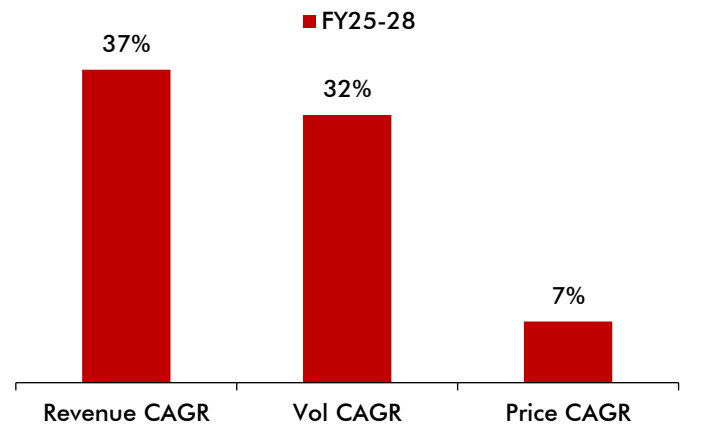
Manorama is strategically positioned for significant growth over the next five years (revenue CAGR of 34% over FY25-30), aiming to establish itself as a trusted global supplier firmly. This trajectory is driven by plans to expand fractionation capacity from the existing 40KT to 97KT (brownfield + greenfield), leveraging newly acquired land for future expansion (20 acres of adjacent land at Birkoni). A planned brownfield expansion from 40,000 MTPA to 52,000 MTPA (an increase of 12KT) provides near-term growth visibility, funded through internal accruals. Manorama has shown operational nimbleness and commendable capex execution capabilities since listing. Timely execution of the integrated manufacturing capex (~₹2.15bn), successfully ramping up utilization of facilities commissioned in recent years, is commendable. Growth will also be accelerated by scaling up business in Latin America (LatAm), utilizing the new subsidiary in Brazil, and penetrating new segments, including the HoReCa market with new SKUs and specialty products. Over the next 3-5 years, Manorama will build on its existing global customer relationships and secure market share by achieving optimal capacity utilization.

Exhibit 32: Revenue growth driven by volume improvement



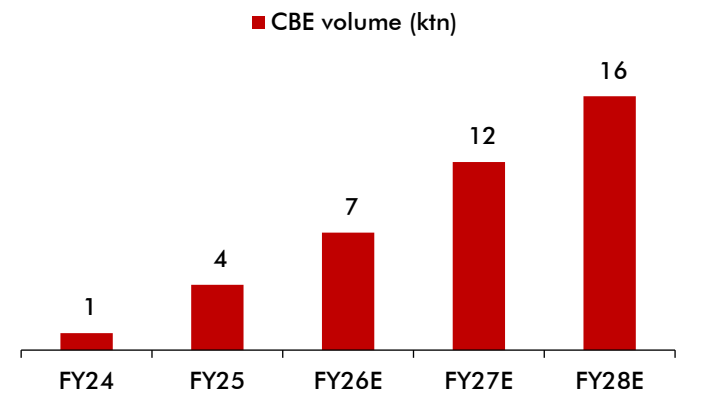
Source: Company, Ambit Capital research

Exhibit 33: Pricing improvement driven by product mix



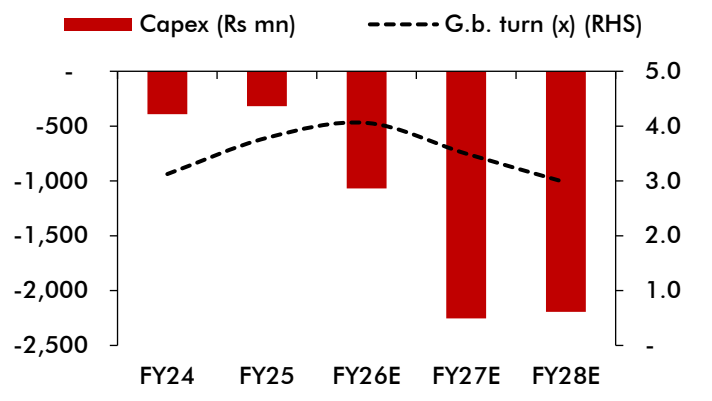
Source: Company, Ambit Capital research

Exhibit 34: CBE volume steps up with LatAm entry



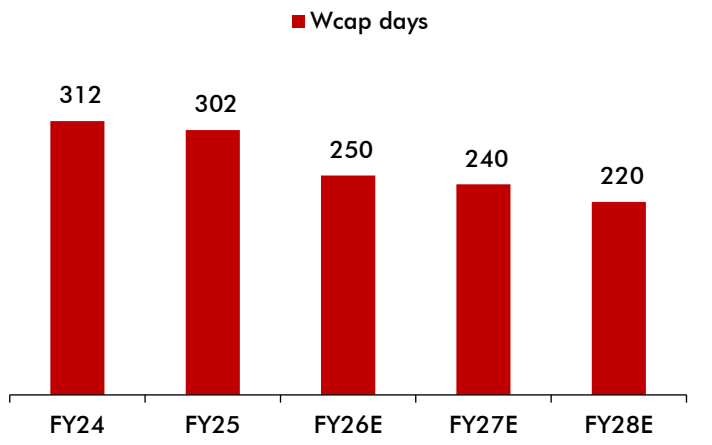
Source: Company, Ambit Capital research

Exhibit 35: Next round of capex takes fractionation capacity to nearly 100KT



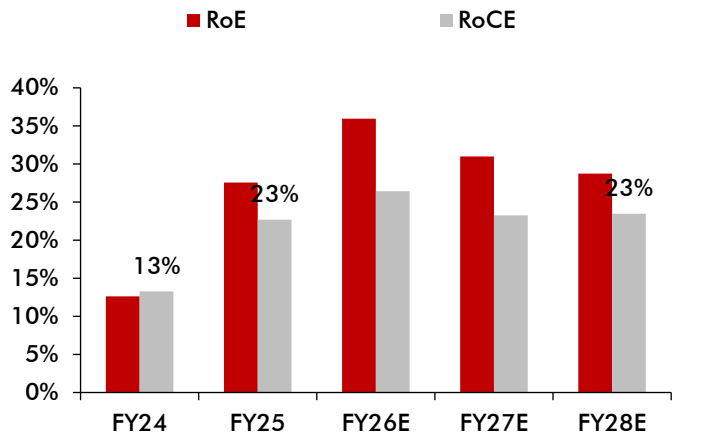
Source: Company, Ambit Capital research

Exhibit 36: Working capital will stabilize around ~200 days...



Source: Company, Ambit Capital research

Exhibit 37: ..and RoE/RoCE at ~30%/25%



Source: Company, Ambit Capital research

Business moat: Product + Process + Network

Manorama's business moat stems from its product understanding and value proposition, its process capabilities, and its sourcing network built over decades. It is the largest manufacturer of CBE in India and the only company globally to offer specialty fats from an entire basket of exotic seeds. Nearly 70% of the business comes from export markets and a customer base comprising of global majors like Ferrero, Mondelez, Nestle, Hershey, Mars, and Barry Callebaut. Over the next decade, Manorama will continue to leverage its business moat as it expands its global footprint. Business can be volatile in the near term, but is highly scalable in food ingredient categories. CBE remains a highly sought-after product and our channel check indicates the market is unlikely to shift back to cocoa butter as manufacturers know a) the reformulation works, b) remains cost competitive and c) functionally a better product.

The process – Experience from the legacy

Manorama extracts specialty fats and butter from a basket of exotic seeds and nuts, including sal seeds, shea nuts, mango kernel, kokum seeds, mowrah, and illipe. All the seeds are sourced locally in India, except Shea, which is imported from West Africa.

- **Sal seeds** are a major raw material sourced from India, which contains the largest Sal forests globally. These seeds are found abundantly in states like Chhattisgarh, Odisha, Jharkhand, and Madhya Pradesh. India's estimated annual production of Sal seeds is substantial, around 10 to 15 lakh metric tons (MT), of which Manorama procures a leading volume, ranging from 80,000 to 1 lakh MT annually (<10% of available supply). Sal seeds, which contain 13–14% butter content, are collected by tribal and forest-dwelling communities, mainly during the May to July season.
- **Shea nuts** are a critical exotic material imported from the West African region. Manorama actively sources these nuts from various countries, including Ghana, Burkina Faso, Togo, Benin, Nigeria, Ivory Coast, and Mali. The company procures 40,000 to 80,000 MT of Shea nuts annually (~10% of available supply), utilizing associates like Manorama Africa Limited (MAL) to streamline and strengthen procurement directly from millions of tribal women in these regions. Shea nuts have a high butter content of 45–50% and contain symmetrical triglycerides, making them a viable raw material for CBE formulation after fractionation. The processed solid fraction, Shea stearin, is obtained by solvent fractionation and is often blended with PMF to produce Shea-based CBE. Shea butter and its soft fraction, Shea olein, are also widely used in cosmetic formulations for moisturizing and in soft confectionery applications as a non-hydrogenated, trans-fat-free alternative.
- **Mango kernels** are sourced from India, where the fruit is available seasonally from May to July. Manorama acquires the kernel, which might otherwise be a waste product from consumption or the Indian pulp industry, through a dedicated supplier network across states such as Chhattisgarh, Odisha, and Madhya Pradesh. The collection process is carried out by local tribal communities. The potential availability of mango kernel fat in India is substantial, estimated at around 70,000 tons annually, and is expected to grow with the government's focus on food processing units. The extracted fat, Mango butter, is valued for its fatty acid composition and unique unsaponifiable substances, which help preserve soft and supple skin, leading to its extensive use in cream and lotion formulations. The company has a supply agreement for mango butter with premium brands such as The Body Shop. The fractionation of Mango butter yields Mango stearin, which has physical and chemical properties comparable to those of sal stearin, making it a vital component for CBE manufacturing.

Exhibit 38: Shea nuts

Source: Neogric, Ambit Capital research

Exhibit 39: Sal seed

Source: Wikipedia, Ambit Capital research

Exhibit 40: Mango kernel

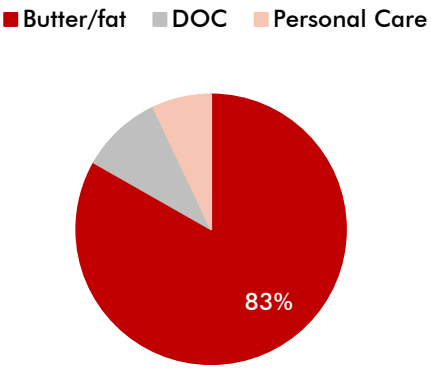
Source: Indiamart, Ambit Capital research

Putting the seeds/nuts to work

There are two key starting points to process the seeds. Seeds with high fat content like shea (45-50%), are passed through **expellers** to remove crude oil and DOC (De-Oiled Cake). Whilst mango kernels and sal seeds go directly into **solvent extraction** after cooking. The DOC from the shea expeller is also passed through solvent extraction to extract the leftover oil. The crude oil now goes into the **refining** process, while the DOC goes into the market as cattle feed.

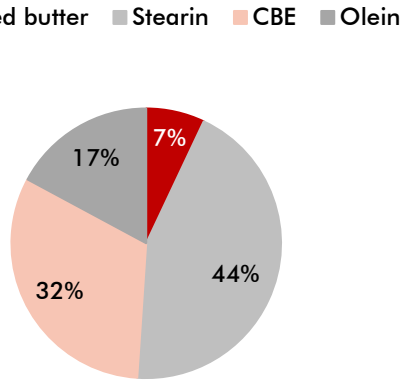
Refining removes gums, acid oil (used in soap) etc. from the oil and provides refined butter, also known as NBD butter (Neutralized, bleached, deodorized). The butter finally enters the **fractionation** process, where hard and soft butter are separated in the form of stearin and olein. These (stearin and olein) can either be sold directly or the stearin can be blended with PMF (Palm Mid-fraction) to provide CBE (Coco-butter-equivalent). The blended contribution margin ranges from 45-50% depending on the pricing environment.

Exhibit 41: Food application is dominant share of business



Source: Company, Ambit Capital research

Exhibit 42: CBE accounts for 32%/26% share of butter/overall revenue



Source: Company, Ambit Capital research

The product: B2B for C

Manorama is the only company in the world that manufactures specialty fats/butter from an entire range of exotic seeds (sal seeds, shea nuts, mango kernel, kokum seeds, mowrah, illipe etc.) in one product basket. It is the largest company in India to manufacture cocoa-butter-equivalents (CBE). Products find applications in two main categories a) food and confectionery (~80% share) with focus on CBE and b) cosmetics and personal care for moisturizing and emollient applications.

- **Olein** represents the liquid or soft fraction obtained during the fractionation process of natural butters, alongside the solid fraction (stearin). Products like Sal olein, Mango olein, and Shea olein are soft fractions that generally find high demand in the cosmetics and skin care industries, serving as effective emollients. Sal olein and Shea olein are promoted as non-hydrogenated, zero trans-fat healthy alternatives suitable for various food applications, including soft confectionery centre filling, chocolate spreads, bake-stable bakery products, and ice cream. Mango olein is specifically used in cosmetic formulations to aid in moisturizing, healing dry/cracked skin, and facilitating skin-cell renewal.

Exhibit 43: Olein has relatively lower cost and sold around US$ 1.2-1.5/kg

Source: Chagrin Valley, Ambit Capital research

- **Stearin** is the solid fraction obtained by subjecting crude butter (like Sal, Mango, or Shea butter) to the fractionation process. This product, derived from various exotic seeds such as Sal, Mango, and Shea, is considered a key value-added product for the company, often contributing significantly to the value-added product mix alongside CBE. Stearin is essential because it is the primary ingredient used in the manufacture of Cocoa Butter Equivalent (CBE). Sal stearin, for example, is harder than cocoa butter. Stearin rich in triacylglycerol cuts (POS and SOS) is blended with Palm Mid Fraction (PMF) to create CBE formulations.

Exhibit 44: Stearin is a high-value product sold at US$5-6/kg

Source: B&D Trading, Ambit Capital research

- **Cocoa Butter Equivalent** (CBE) is Manorama's core product offering, designed as a cost-effective and fully compatible substitute for cocoa butter. CBEs are vegetable fats specifically formulated to replicate the fatty acid and triglyceride composition of natural cocoa butter and are carefully blended without hydrogenation, ensuring they are trans-fat-free. The major CBE brands offered by the company include Milcoa® CBEs, Cocoa Butter Improvers (CBIs), and Cocoa Butter Optimisers. CBE is vital in the chocolate and confectionery industry because it improves product stability, extends shelf life, enhances texture, and reduces production costs. CBE, along with stearin, is central to Manorama's focus on high-margin value-added products.

Exhibit 45: CBE is the premium product offering from Manorama

Source: Foodsguy, Ambit Capital research

- **De-Oiled Cake** (DOC) is classified as a byproduct (or secondary stream) resulting from the solvent extraction process used to isolate fats from the raw seeds. Manorama maximizes resource utilization by repurposing DOC, a key ingredient in the Indian cattle feed industry. The company generates revenue from this segment and is recognized as the largest supplier of cattle feed derived from exotic natural tree-borne seeds DOC in India. This process of creating value from a residual product is a fundamental component of Manorama's sustainable "Waste to Wealth" business philosophy. It provides a competitive cost advantage over global peers who must burn the byproduct solely for fuel.

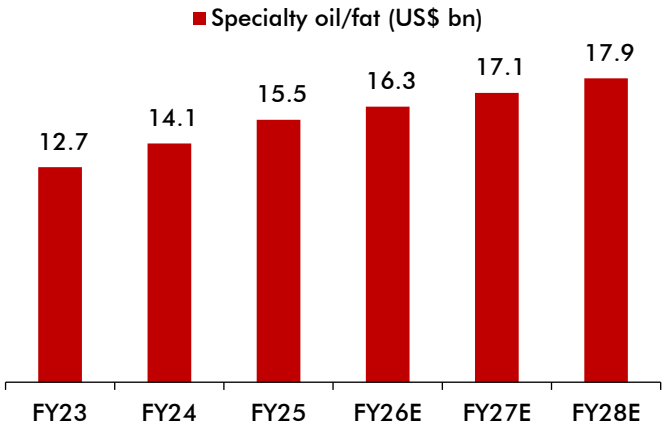
Exhibit 46: Sold in domestic market for cattle feed at ₹5-7/kg

Source: Indiamart, Ambit Capital research

The market – Growing at a fast clip

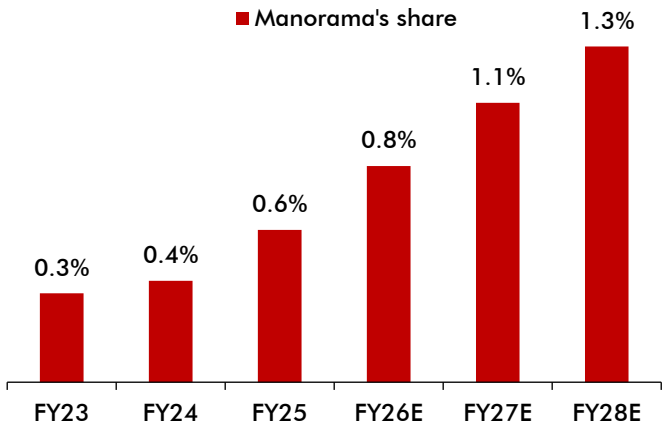
Global specialty oil and fat market size stands at US$15.5bn and is growing at 5% p.a. supported by a) rising demand from confectionery/bakery market, b) rise in processed food industry, c) focus on health and wellness as these oils have low trans-fat content and are plant-based and d) rising content of specialty oils in personal care products. Market share of Manorama in the global specialty fat/oil market today stands at 0.6% in FY25 (0.3% in FY23) and we expect it to step up to 1.3% by FY28, supported by a) capacity step-up, b) expanding global footprint and c) entry into HoReCa market.

Exhibit 47: Global specialty fat/oil is growing at 5% p.a...



Source: Industry, Ambit Capital research

Exhibit 48: ...vs Manorama's revenue CAGR of 38%



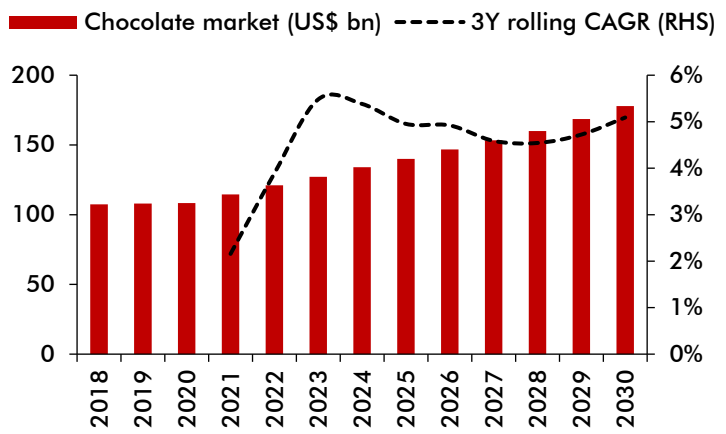
Source: Company, Ambit Capital research

Manorama's revenue growth will be driven by the ramp-up of expanded capacities and supported by growth in the CBE business (excluding CBE, we expect revenue growth at a 19% CAGR over FY25-28).

CBE – Sticky demand as formulation shifts in favor of CBE

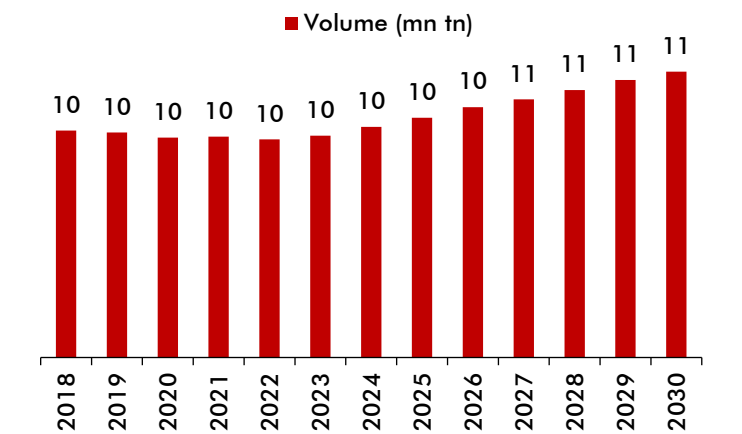
Global chocolate volumes are stable, growing at ~1% CAGR, while input costs are the primary reason for the step-up in market growth. Whilst some global commentaries indicate softness in volume growth owing to price rises in the near term, structurally, the market volumes should continue to grow in the 1-2% range, depending on the global consumption outlook. Whilst the global premium chocolate market share stands at 20-25%, mass-market chocolates still account for 75-80% of the market.

Exhibit 49: The global chocolate market grew at 5% over the last five years...



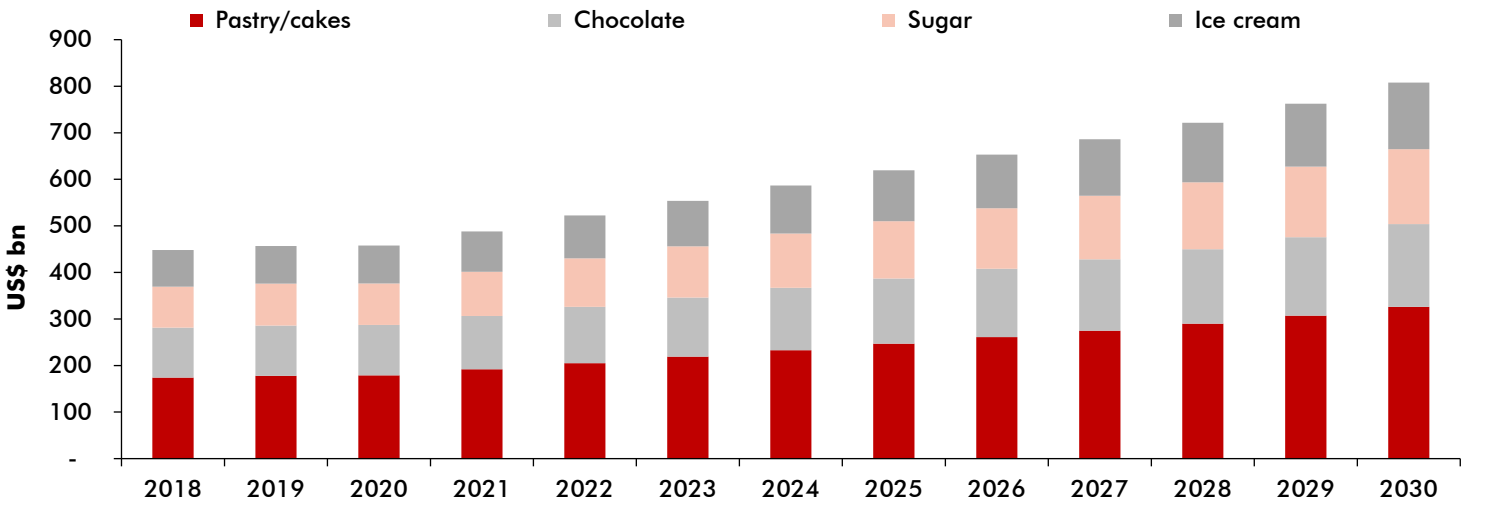
Source: Statista, Ambit Capital research

Exhibit 50: ...primarily driven by prices as input costs shot up over 2022-24



Source: Statista, Ambit Capital research

Exhibit 51: The global pastry/cake market is expected to outgrow the chocolate market at 6% CAGR; Manorama has begun to cater this market, starting from India with a small SKU box (~25kg)



Source: Statista, Ambit Capital research

Exhibit 52: Cocoa is the key raw material comprising 45-50% of the cost for a chocolate manufacturer

Traditional ingredients of chocolate	Milk	Dark	Premium (milk)	Industrial	Compound
Cocoa Liquor/solids/butter	35%	70%	35%	50%	15%
Sugar	40%	30%	45%	40%	40%
Milk powder	20%		20%		10%
Other	5%	1%	1%	10%	35%

Source: Industry, Ambit Capital research

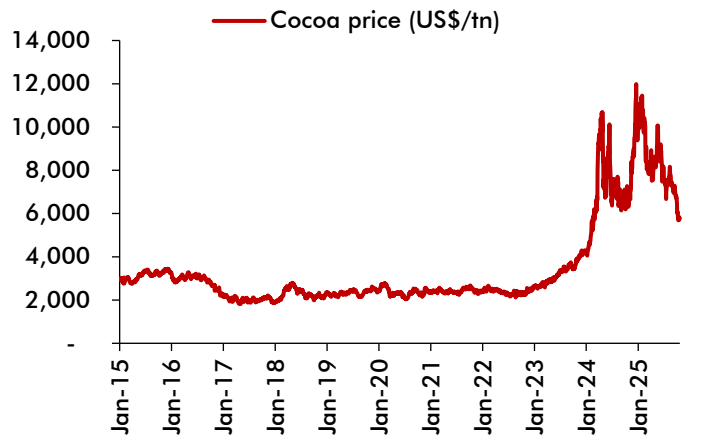
Exhibit 53: CBE addition limits are much higher if they don't state 'Chocolate' on the cover

CBE guideline	Chocolate	Non-chocolate
EU	5%	15-20%
US	0%	15-20%
LatAm	5%	15-20%
India	5%	15-20%

Source: Industry, Ambit Capital research

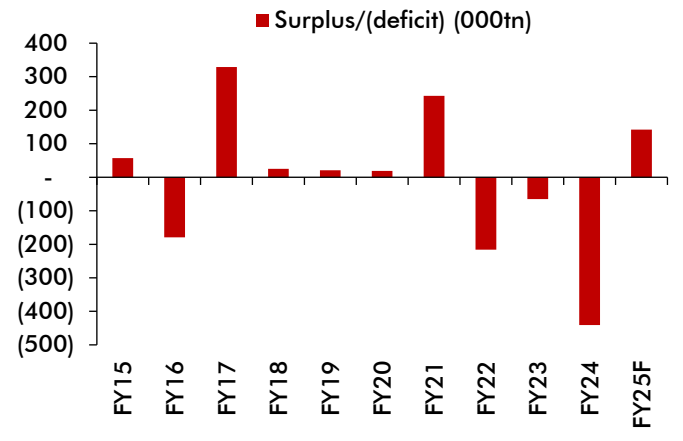
Global cocoa prices shot up in 2023-24 owing to lower output in Africa. This was due to adverse weather conditions and the spread of the swollen shoot virus among crops. Recent timely onset of rain in Cote d'Ivoire (~40% share of production) is fueling expectations of normalized output in CY25. Prices have come down in expectations of normalized global inventories. However, over FY17-23, global production of cocoa grew at 1% CAGR, limiting raw material availability for the global confectionery market. Long gestation cycles of three years for new crop and ageing existing crops (lower yield) are keeping the new farmers away from the cocoa market, as they prefer cash crops like palm, rubber etc.

Exhibit 54: Prices recede owing to normalized crop expectations



Source: Bloomberg, Ambit Capital research

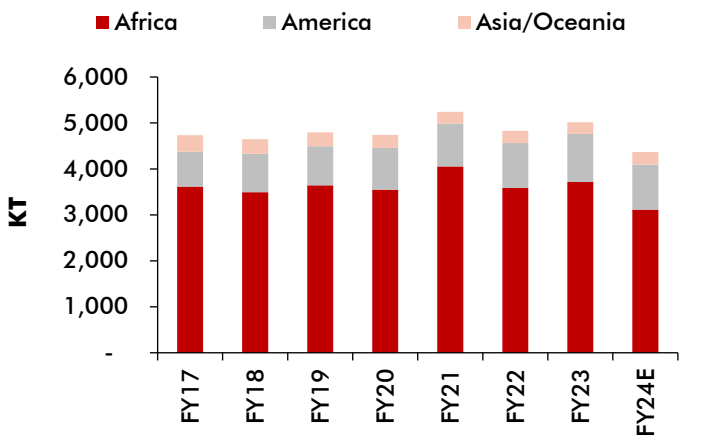
Exhibit 55: Inventories of cocoa nuts have been in deficit over 2022-24



Source: ICCO, Ambit Capital research

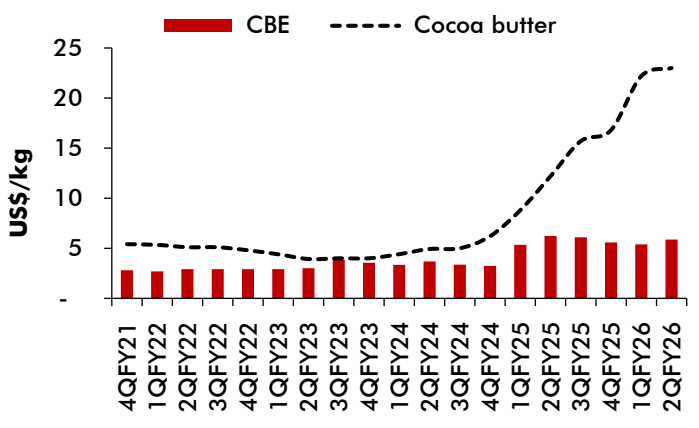
Global CBE manufacturers benefited from the rise in cocoa prices, but CBE prices rose only 60% compared to a 4x rise in cocoa butter prices. Also, shea nut prices were stable during this period.

Exhibit 56: Africa accounts for ~70% of global cocoa production of ~4.5MMT



Source: ICCO, Ambit Capital research

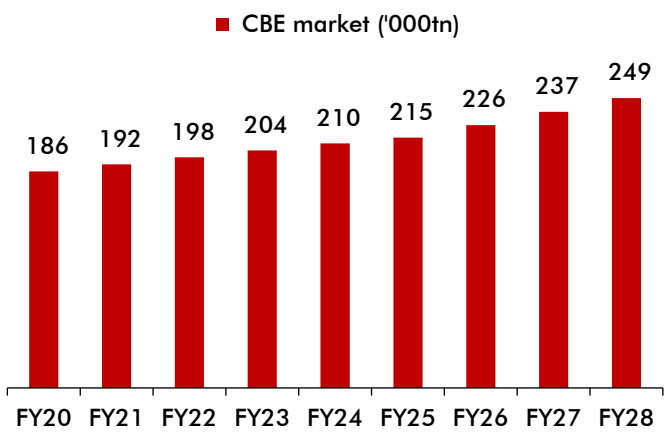
Exhibit 57: Rise in cocoa prices (US$/kg) led to an increase in cocoa butter prices



Source: Volza, Ambit Capital research

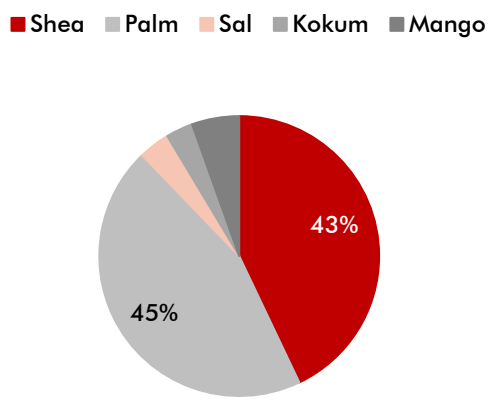
The global CBE market is expected to be ~210KT (~US$1.4bn), accounting for ~5% of cocoa production. The market is expected to grow at 5% CAGR over FY25-28. Manorama's share in the global CBE market has gone up from 0% in FY20 to 2% in FY25 and we expect it to reach 6% by FY28. Palm and Shea are primary sources for CBE, but shea is closest to chocolate's fat profile and has lower fat bloom. Palm-based CBE is mostly used as CBS (cocoa butter substitute) and CBR (cocoa butter replacer) in low-cost chocolate coatings.

Exhibit 58: The CBE market is growing at 5% CAGR



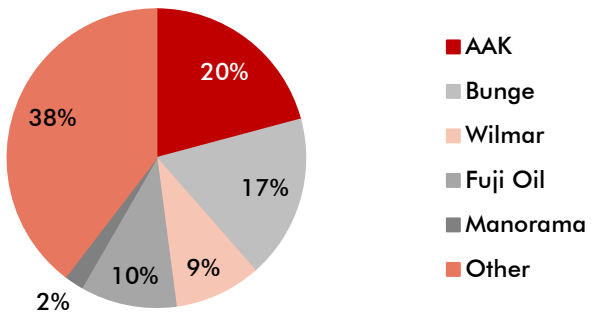
Source: Industry, Ambit Capital research

Exhibit 59: Palm and shea are primary sources



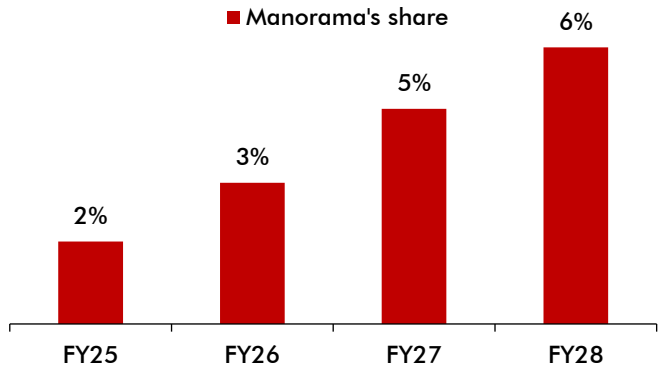
Source: QY research, Ambit Capital research

Exhibit 60: Top-4 players account for ~50% of CBE market



Source: Industry, Ambit Capital research

Exhibit 61: Manorama CBE business to get a leg-up in FY27 with LatAm ramp-up with orders in hand



Source: Company, Ambit Capital research

Exhibit 62: Global leaders of CBE have other segments as their focus area. CBE market doesn't offer them desired scale like other agro commodities; however, they continue to invest in premium CBE products, still leaving a larger market for smaller players like Manorama

	AAK	Bunge	Fuji Oil	Manorama Ind.
Business	▪ Revenue at US$4.3bn in CY24. ▪ Segments: a) Food ingredients (65% share of revenue), b) Chocolate & confectionery fats (30%) and c) Technical products and feed (5%/3%)	▪ Revenue at US$53bn in CY24. ▪ Segments: a) Soyabean processing & refining (54% of revenue), b) Softseed processing (14%), c) Other oilseeds processing (7%), d) Grain merchandising & milling (24%)	▪ Revenue at US$3.9bn in CY24. ▪ Segments: a) Industrial chocolate (45% of revenue), b) Vegetable oils (33%), c) Emulsified and fermented ingredients (16%) and d) Soy-based ingredients (6%)	▪ Revenue at ~US$91mn in FY25.
RoCE/EBITDAM (3Y median)	▪ 19%/11%	▪ 17%/5%	▪ 5%/7%	▪ 13%/16%
Main segment	▪ Food ingredients offers fat-based ingredients to the bakery, dairy, foodservice and special nutrition industries. ▪ Key raw material includes palm oil, rapeseed oil and coconut oil.	▪ Soybean processing and refining is more than 50% of the business.	▪ The industrial segment includes compound chocolates (solid/liquid) used in bakery and confectionery.	▪ Specialty oil and fat from exotic seeds, primarily sal, shea, and mango.
CBE segment	▪ Chocolate & confectionery fats offer functional CBE/CBA for chocolate and speciality fats for confectionery applications. ▪ Uses shea nuts for CBE. ▪ Customers in the personal care industry and natural emulsifiers.	▪ The company has only given rapeseeds and sunflower seeds under soft seeds. ▪ The specific revenue share of CBE is not mentioned.	▪ The vegetable oils segment includes cocoa butter from palm oil, sunflower oil, and shea butter.	▪ CBE accounts for ~25% share of business.
Outlook	▪ Challenging market environment and elevated chocolate prices. ▪ CBE is witnessing good traction. ▪ CBE will remain cost-competitive against cocoa butter.	▪ Soybean and soft seeds segment is expected to be slow, whereas meaningful improvement is expected in grain merchandising segment.	▪ CBE will continue to have a price advantage. ▪ Demand is shifting from pure chocolate to compound chocolate. ▪ Stagnant chocolate consumption due to rising cocoa prices.	▪ The market is in short supply. ▪ Expect growth momentum to continue, supported by capacity expansion and entry into new markets.
Capex	▪ Focus on innovation and efficiency. ▪ Focus on chocolates and confectionary and technical oils and feed.	▪ Plant at Amsterdam for plant-based oil and improve EU presence. Target tech improvements.	▪ Capex plans focus on expanding CBE capacity, industrial chocolates, and fermented ingredients.	▪ Capex to de-bottleneck in FY26 and further step-up capacity by FY28.
Plants	▪ The company has 19 production sites across the globe	▪ The company has 11 oil processing plants across the globe	▪ Manufacturing presence across 14 countries.	▪ Manufacturing presence in India currently. ▪ Agreement with Dekel in Brazil to use their facility for processing requirements.

Source: Company, Ambit Capital research, Note: All except Manorama N/R

Exhibit 63: Global leaders/organizations remain confident of technical advantages of the use of CBE

Company	Indications
AAK	▪ High cocoa prices have resulted in customers reformulating their products using CBE. ▪ Formulation **unlikely to switch back** as customers know a) reformulation works and b) CBE will remain cost competitive. ▪ CBE is not just cheap replacements but provides functional benefits. ▪ The company is investing in high-value CBEs. ▪ Backward integrating into shea crushing. The company will procure oil from Africa.
Bunge	▪ CBE are functionally superior with a better crystallization profile and heat tolerance. ▪ CBE demand has a structural trend and not just a tactical substitute. ▪ Bunge's CBE is a premium product, and it is not targeting the mass market. ▪ Shea has strong compatibility with cocoa butter. ▪ CBE is not just a stopgap substitute but a growth business segment.
Fuji oil	▪ Adding shea fat capability apart from palm and sunflower. ▪ Launched a cocoa-free alternative to chocolate.
Global Shea Alliance	▪ Major chocolate companies like Nestle, Mondelez, Mars, Hershey, Ferrero use CBE. ▪ Shea-based CBE demand is growing much faster than the global chocolate market.

Source: Company, Ambit Capital research, All N/R

The sourcing network – Built from the ground up

Manorama sourcing network for seeds is built over decades of experience and adds a competitive moat to the business. It has a strong network of millions of tribals and forest dwellers who help procure seeds from deep forests. Plant in Raipur is located at the heart of India's greenbelt, providing easy access to sourcing hubs. There are 18K collection centers across the country.

Manorama is a supplier to global chocolate majors and follows stringent ethical standards as it holds multiple certifications like Fair Trade, Fair for Life, Sedex, Exovadis etc., which confirm sustainable sourcing practices.

Manorama sources Shea nuts, a key exotic raw material, from West African countries including Ghana, Burkina Faso, Togo, Benin, Nigeria, the Ivory Coast, and Mali. This procurement is facilitated through a strong supply chain network.

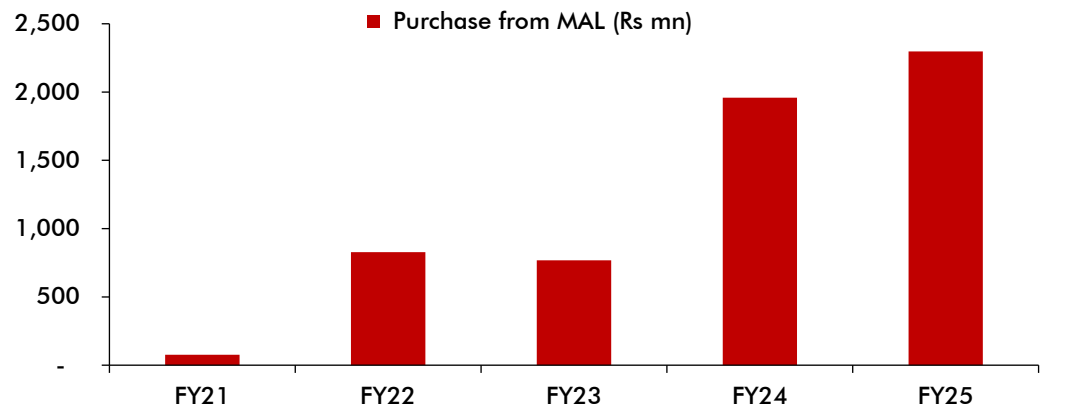
Manorama has established local subsidiaries across West Africa. These subsidiaries are intended for backward integration, aiming to crush the shea nuts there and import the butter instead of the seed. This vertical integration enhances supply chain efficiency and local value addition, thereby supporting the local government's thrust on local value addition to procurements.

Manorama emphasizes ethical sourcing, adhering to the 'Waste to Wealth' and 'Poorest to Richest' models. The company pays the collectors through banking channels, often via village heads, ensuring the money reaches them directly and promoting transparency and financial inclusion. The procurement is generally done at spot prices. Manorama also collaborates with organizations like the Global Shea Alliance on sustainability initiatives, such as planting seedlings in Ghana.

African subsidiaries for sourcing raw materials

Manorama has set up six wholly owned subsidiaries in Africa to procure shea nuts. Also, it has signed an MoU (Memorandum of Understanding) with the Government of Burkina Faso to establish a shea nut processing plant through its wholly owned subsidiary, Manorama Burkina Industries SA. Earlier, the company had a sourcing arrangement with Manorama Africa Limited (MAL), an associate company owned by the promoter (100% owned by Vinita Saraf). The board has already approved acquisition of MAL for a consideration of ₹100mn. However, the acquisition is pending due to a delay in approval from RBI.

Exhibit 64: Manorama Africa was set up in 2019 to support raw material sourcing with plans to make it a wholly owned subsidiary in the future



Source: Company, Ambit Capital research

The customer – Global leaders and processors

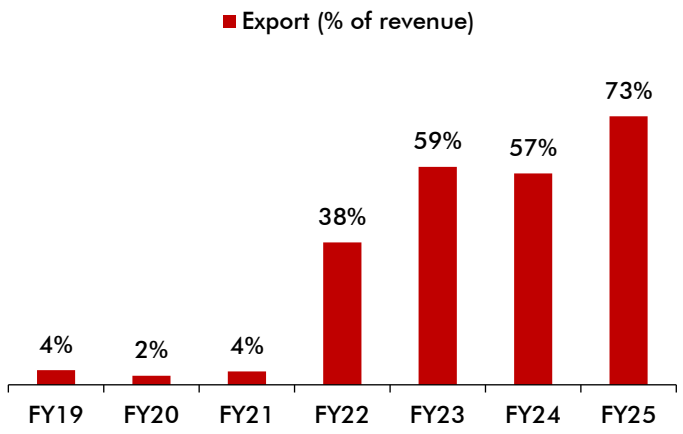
Manorama serves a distinguished clientele of industrial consumers engaged in the Confectionery, Chocolate, Food, Cosmetic, Cattle feed, and Soap industries globally. The company is positioned as a "tailoring company" that offers customized solutions to meet the specialized needs of global clients, many of whom are Fortune 500 companies.

Manorama enjoys long-standing customer relationships with leading global manufacturers. Key clients named in the sources include:

- **Confectionery and Chocolate Giants**: Ferrero, Mondelez, Nestle, Hershey, Mars, and Barry Callebaut. Manorama is one of the few companies that supply these global confectionary giants.
- **Cosmetic Conglomerates**: The company also supplies cosmetic brands such as The Body Shop, L'Oréal, and Lush. Manorama has a supply agreement with The Body Shop for Mango Butter. This association underscores the company's commitment to sustainability and fair trade practices, given The Body Shop's stringent social audit criteria.
- The top 10 customers account for approximately 40% of revenue.

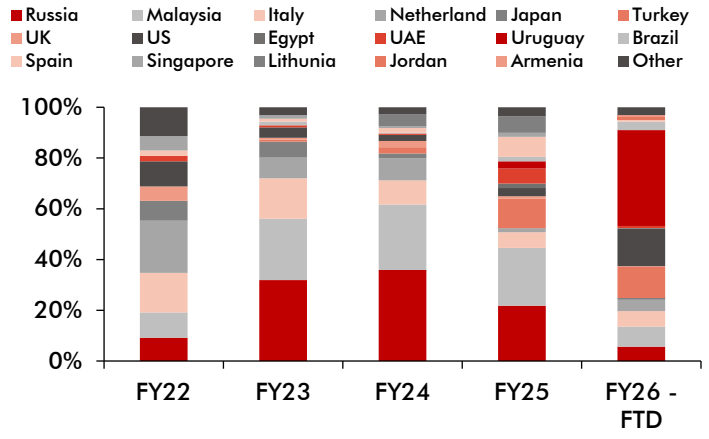
Global leaders like Mondelez, Ferrero, and Bunge Loders Croklaan account for ~15% of revenue in the business, which has grown at a ~25% CAGR over the last five years. Exports are growing at a 73% CAGR (FY21-24).

Exhibit 65: Exports continue to rise with a step-up in CBE



Source: Company, Ambit Capital research

Exhibit 66: Manorama utilized Russian demand to initially place its product; export share fell to 6% in FY26FTD



Source: Volza, Ambit Capital research

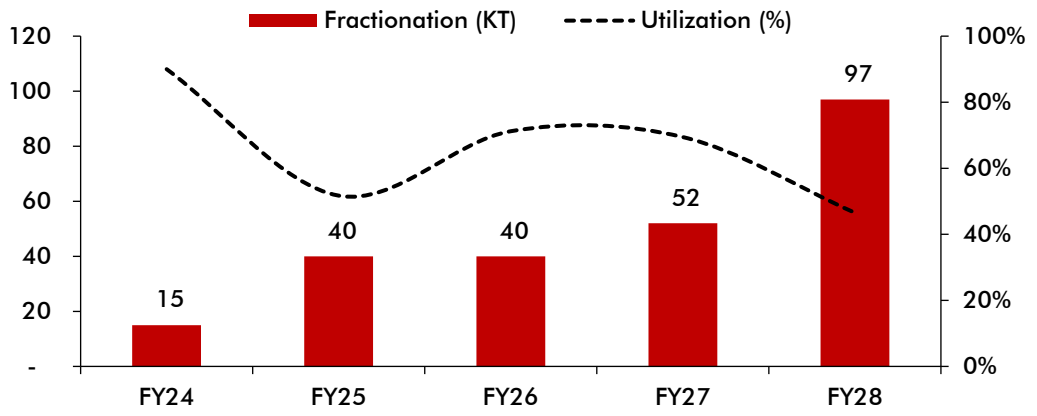
Untapped opportunities

Manorama is strategically positioned for a significant acceleration phase, driven by critical geographic diversification into the high-growth LatAm market. Global demand for Cocoa Butter Equivalents (CBE) remains strong, evidenced by the successful ramp-up of the expanded 40KT fractionation capacity, which reached 70% utilization in 1QFY26. Capacity is set to increase nearly 7x over the next 4 years, with plans to reach 97KT of fractionation capacity by FY28 through successive expansions. Furthermore, the company has secured a toll manufacturing arrangement in Brazil, enabling the first local production of CBE to serve the fast-growing ~50KT LatAm market. This has already translated into engagement with major customers (e.g., Barry Callebaut, Mars) to secure capacity, providing immediate orderbook visibility. Entry into the HoReCA market is margin-accretive for the low-value olein business.

Capacity expansion to capture market opportunity

Demand for CBE is sticky and continues to grow. Global commentaries indicate that customers have reformulated their chocolate recipe due to uncertainties around cocoa supply. Manorama's expanded 40KT fractionation capacity came online in 1QFY25 and has already reached 70%+ utilization. The company plans to add 12KT fractionation capacity through brownfield expansion, which is expected to go online by the end of FY26. Manorama also plans to further step up its fractionation capacity by another 45KT (total: 97KT for fractionation) by FY28, which will use the enzymatic process to convert existing olein output into CBE without the incremental seed procurement.

Exhibit 67: Capacity to increase ~7x in four years



Source: Company, Ambit Capital research

LatAm entry expedites CBE scale-up

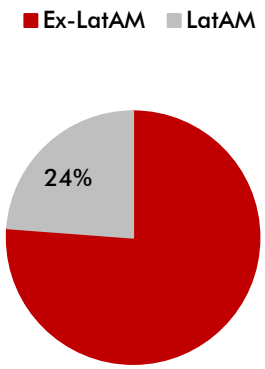
CBE demand in LatAm stands at ~50KT, of which Brazil alone consumes ~35KT annually. The market is growing rapidly, and AAK is the only player with ~75% market share due to its facilities in LatAm.

Manorama has tied up with Dekel to use its facility and manufacture CBE locally in Brazil. Dekel has 200KT of processing capacity, and Manorama can use 20KT of it. This is a toll manufacturing arrangement where Manorama would pay Dekel US$200/tn of processing charges. Raw materials would be supplied by Manorama, while the facility would help in blending and deodorizing. The facility would be run by Dekel employees with a representative from Manorama to ensure output quality. Whilst this would help Dekel optimize its capacity, it would give Manorama a faster turnaround time to cater to local customers. This is the first local production of CBE in Brazil.

Access to Argentina, Peru, Mexico, and the US markets from the LatAm facility is a future optionality. Also, the larger suppliers like AAK primarily cater to bulk buyers (65% of the market) while small buyers (35%) have to depend on traders to procure their CBE requirements. Manorama would be catering to both markets with different SKU sizes.

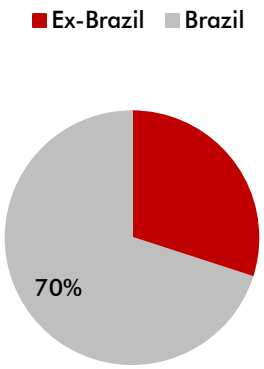
Manorama is already engaging with its customers like Barry Callebaut, Hershey, Mars etc. to lock in capacities. It has immediate visibility of ~3KT (10% market share) in the orderbook as customers try to diversify their sourcing.

Exhibit 68: LatAm accounts for ~25% of global CBE demand



Source: Industry, Ambit Capital research

Exhibit 69: Brazil accounts for ~70% of the LatAm market

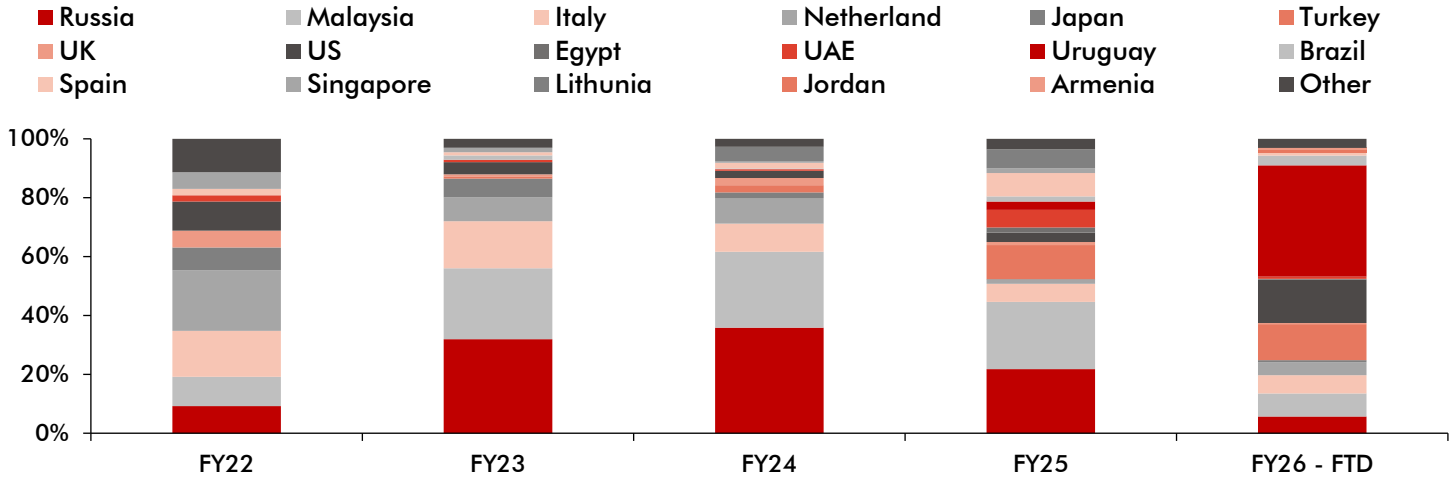


Source: Industry, Ambit Capital research

Business development initiatives: Visible change in export mix

Manorama's active global business development initiatives are evident in the changing export mix across different geographies, as it continues to diversify and expand its global footprint and access new markets. We expect global footprints to improve as the ramp-up in LatAm markets continues.

Exhibit 70: Exports account for 73% of revenue and are now well diversified with regular additions of newer markets



Source: Volza, Ambit Capital research

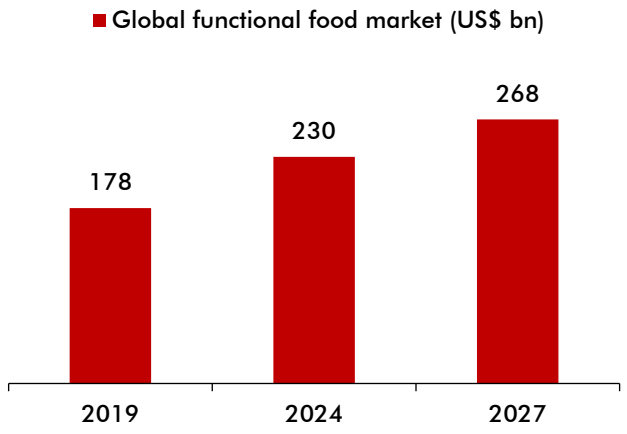
HoReCA market entry with new SKUs

The Indian food service industry is expected to grow at 10% CAGR over 2025-30. Manorama has begun tapping into this market with smaller SKUs (25kg boxes) of olein targeting the HoReCA market. This is a value-accretive proposition, as it fetches better margins on low-value olein output. Benefits of olein include a) stable at higher temperatures, b) balanced fatty acid profile, c) neutral taste, d) non-hydrogenated and no trans-fat. The company caters to HoReCa market through its 'Milcolin' brand. Manorama is supplying ~5-6KT in this market currently and plans to double it over the next two years.

Manorama has a huge addressable market ahead, as it can cater to a wide range of food applications, from bakery and culinary to plant-based and animal nutrition.

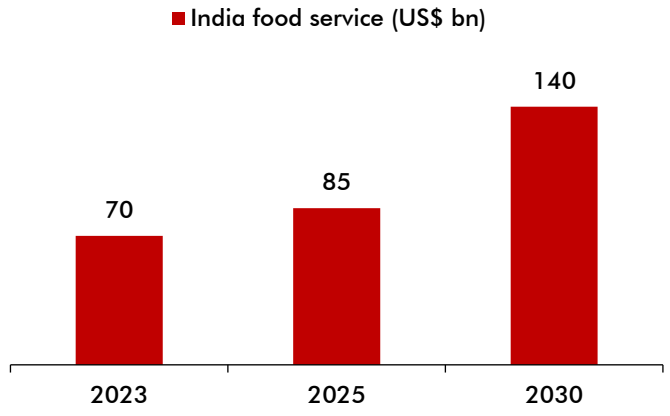
- **Bakery applications**: Bespoke fat solutions with better functional properties than regular fats.
- **Culinary applications**: Specialty oils and fats for blends in dressings, spreads, mayonnaise, sauces, etc.
- **Plant-based foods**: Specialty oil and fat improve the melting and browning of plant-based dairy products.

Exhibit 71: Global market for functional food comprising vitamins, probiotics, protein, amino acids, fibers etc.



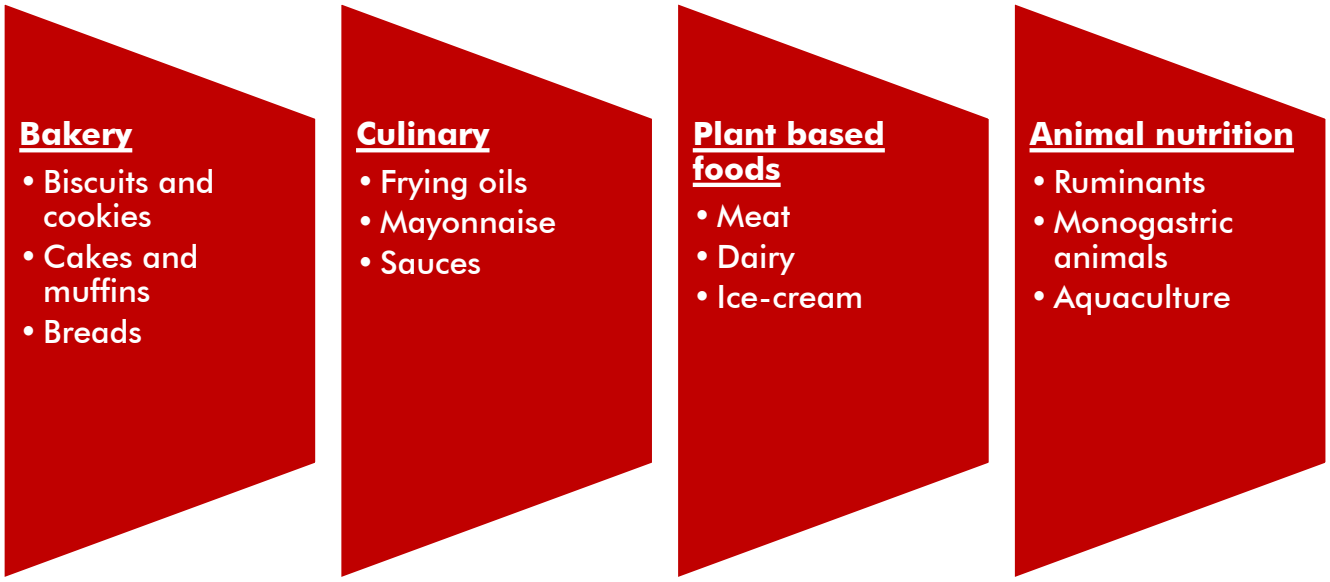
Source: Statista, Ambit Capital research

Exhibit 72: The Indian food service market is expected to grow at 10% CAGR



Source: Statista, Ambit Capital research

Exhibit 73: Multiple applications for specialty fats in the food ingredient market



Source: Company, Ambit Capital research

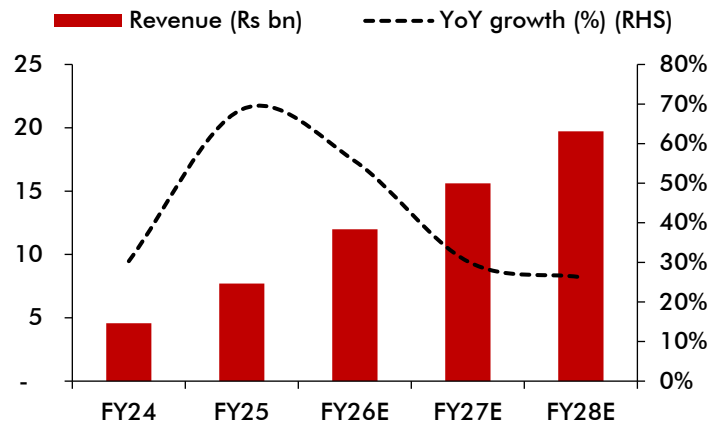
RoCE to sustain in the next leg of expansion

Manorama is poised for its next phase of significant expansion, expecting to deliver a robust 37% revenue CAGR over FY25-28, positioning its growth ahead of the broader market. This high-growth trajectory is supported by capacity additions, a projected more than 2x capacity expansion overall over FY25-28, and entry into new geographies such as LatAm. Profitability remains strong; the business is expected to maintain sustainable EBITDAM margins around 25%. We anticipate RoCE to remain stable, with 23-25% through the next round of expansion. While working capital requirements currently consume significant capital due to raw material seasonality, their intensity is expected to reduce as the product mix improves and capacity scales up.

Growth ahead of the market

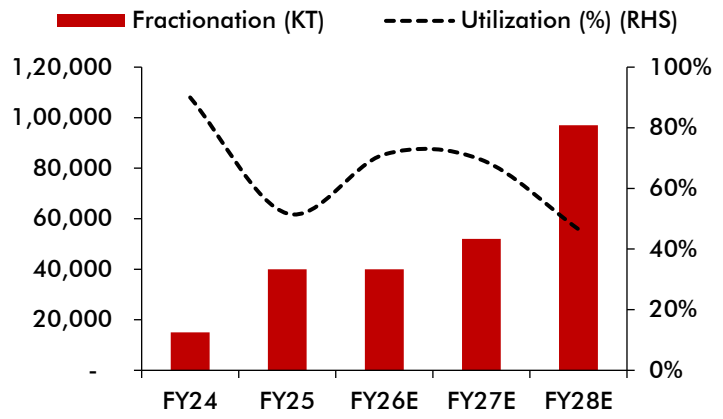
We expect Manorama to deliver 37% revenue CAGR over FY25-28, supported by more than 2x capacity expansion and entry into LatAm markets, with an order in hand. The primary step-up in growth comes from the ramp-up of expanded capacity of 40KT. Revenue growth over FY26-28 is expected at 28% CAGR. The next phase of high growth will start in FY29, when the expanded capacity of 97KT goes online.

Exhibit 74: Expect business to continue growth momentum



Source: Company, Ambit Capital research

Exhibit 75: Supported by consistent capacity addition and available market opportunity

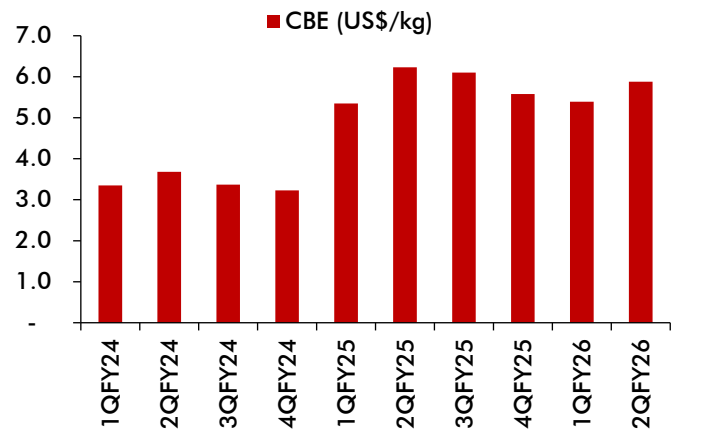


Source: Company, Ambit Capital research

Expect sustainable margins of 25% for the business

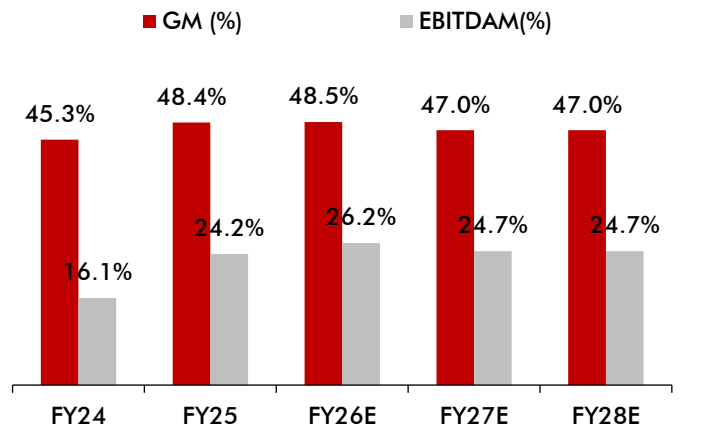
The step-up in margin from 16% in FY24 to 24% in FY25 was supported by a) improving product mix, b) rising contribution of CBE in a favourable pricing environment and c) operating leverage from the ramp-up of expanded capacities. Manorama is delivering 26-27% EBITDAM over the last two quarters. Whilst CBE prices have started to moderate (-5% over 1HFY26 over 2HFY25) it continues to surprise on margin delivery. We believe this is due to a favourable pricing environment in stearin. Our estimate indicates that a 10% correction in CBE prices would have 5% impact on gross profit and a 130bps impact on gross margin. We are projecting 47%/24.7% GM/EBITDAM for FY27-28, compared with 48%/27% delivered in 1HFY26. Manorama's ability to sell DOC as animal feed supports its higher profitability relative to global peers.

Exhibit 76: CBE prices see moderation in FY26



Source: Volza, Ambit Capital research

Exhibit 77: EBITDAM of 25% appears sustainable

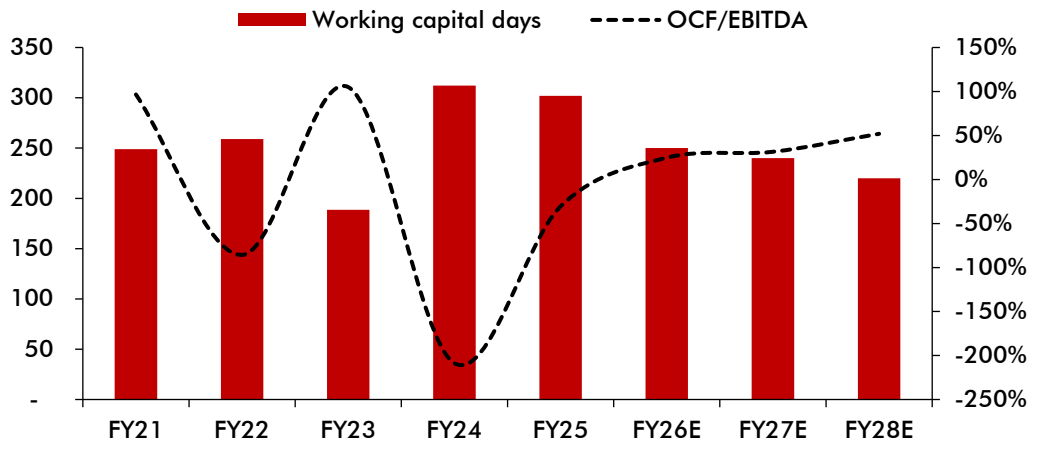


Source: Company, Ambit Capital research

Working capital sticky but fading with scale as mix improves

Shea is the most expensive seed consumed by Manorama, and its sourcing season is from September to January. Currently, it sources ~55KT of shea seed, locking in nearly ₹5bn in inventory. Mango and sal seeds are low-cost (₹18-20/kg) and sourced in India during the summer months. Manorama sources 20KT of mango seeds and 70KT of sal seeds. These lock in about ₹1.6bn in inventories. Whilst seasonality will persist, improving the product mix towards higher-value products and expanding capacity to target existing olein output for CBE will reduce the working capital intensity of the business. We expect sustainable working capital of about 220-250 days in the business.

Exhibit 78: Working capital stood at 194 days in 1HFY26

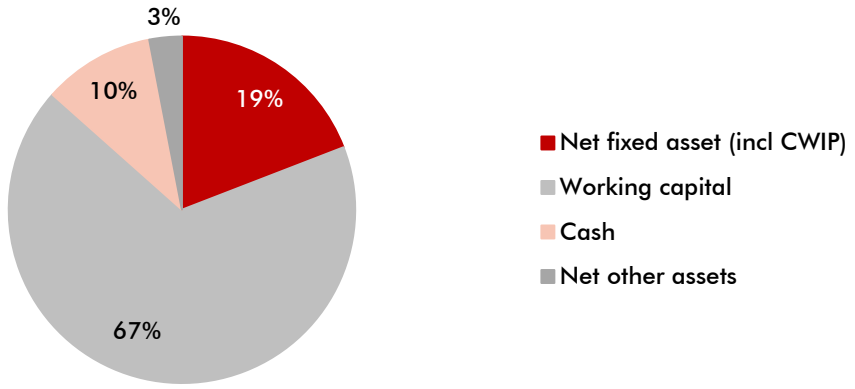


Source: Company, Ambit Capital research

Capital and cash flows currently tied up in working capital

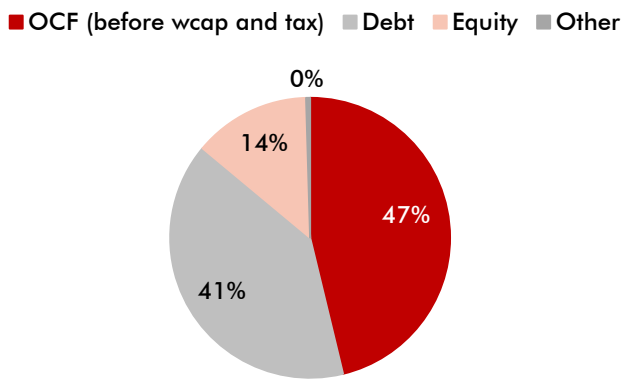
Manorama has ~₹9.5bn of capital employed, including a gross block of ~₹2.4bn. The majority of capital is tied up in working capital due to seasonality in raw material sourcing. It has generated ₹11.8bn in cash inflows (before tax and working capital) over the last decade, and ~60% of these have gone into funding working capital, especially in the previous two years of capacity expansions.

Exhibit 79: Share of capital employed of ₹9.5bn



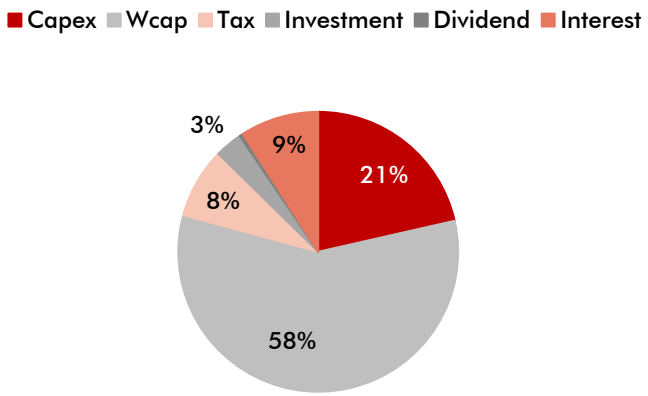
Source: Company, Ambit Capital research

Exhibit 80: Inflows of ₹11.8bn primarily have gone into...



Source: Company, Ambit Capital research

Exhibit 81: ...working capital requirements

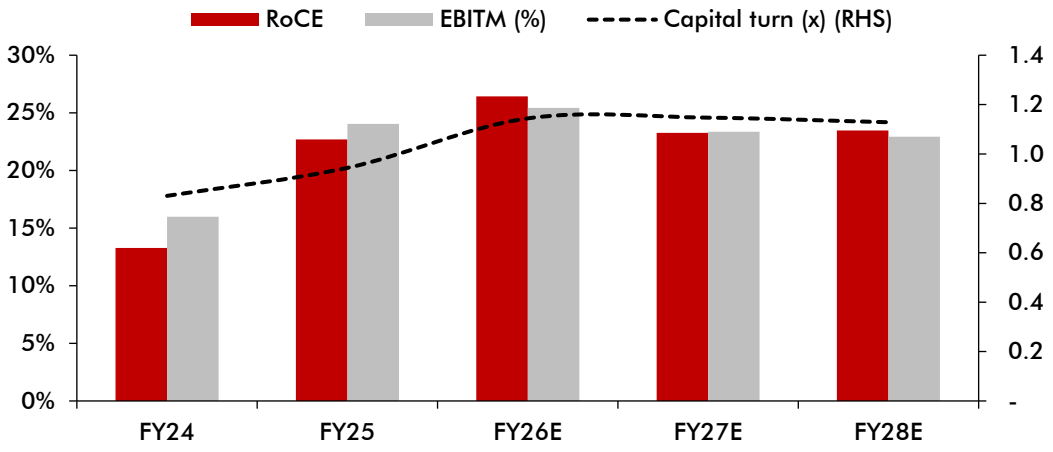


Source: Company, Ambit Capital research

RoCE appears sustainable at 23-25%

We expect RoCE to remain stable at 23%, supported by a capital turn of 1.1x and EBITM of 23%. Our expectation of RoCE stability is contingent on our expectation that working capital will stabilize at current levels and improve in the next round of expansion.

Exhibit 82: RoCE to remain stable at 23-25%



Source: Company, Ambit Capital research

Building the right team

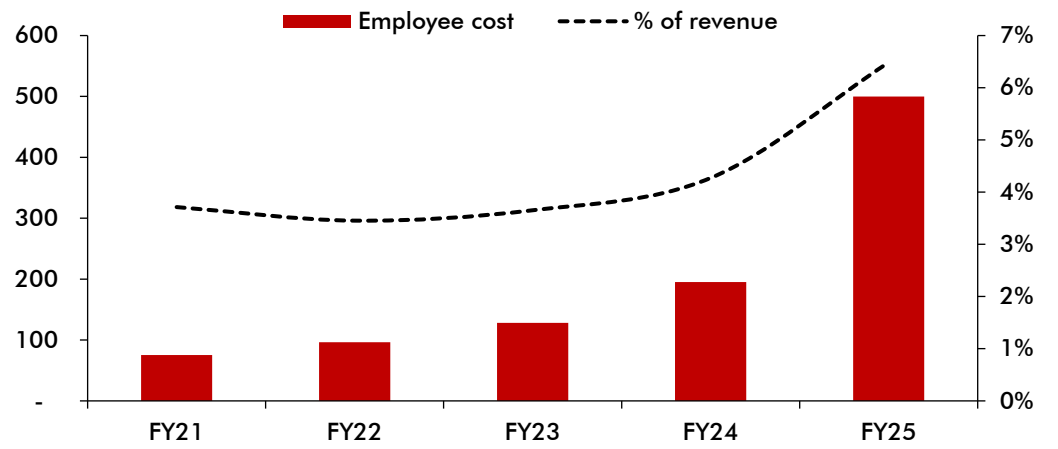
Manorama has been aggressive in attracting the best talent from global leaders, even at this scale. This speaks volumes about the promoter's vision for the business's future scalability. Its employee cost has risen at a 60% CAGR over the last four years, compared with a 40% revenue CAGR. New hires, especially for the LatAm market, have the right mix of technical and business development experience. The company is aggressively pursuing growth opportunities in the LatAm market, and our expectations for growth in the CBE market share factor into this approach as we take a significant step-up in the CBE business in FY27.

Exhibit 83: Team built to go aggressive on LatAm opportunity

Team	Designation	Experience
Krishnadath Bhaggan	VP - R&D	He is associated with Manorama for the last six years. He was associated with IOI Loders Croklaan in senior R&D and innovation roles. He has over three decades of experience.
Sten Andreas Appel	VP - Projects	He is a chemical engineer from Denmark. He has been associated with global edible oil companies as production manager. He brings in plant and equipment design capabilities.
Mauro Sergio Nobre Terreri	MD - LatAm	He heads the Manorama LatAm team. He brings 3 decades of experience in the food ingredients and specialty oil industries. He was earlier associated with AAK in South America.
Luciano Luz Pupp	Head R&D - LatAm	He brings more than 4 decades of experience in specialty oils and fats for chocolate and confectionery applications. He was previously associated with industry leaders such as Bunge, AAK, and Unilever in LatAm.
Marcelo Sasaki	Sales manager - LatAm	He brings in more than a decade of marketing experience in the LatAM market. He was earlier associated with AAK.
Dmitry Zimmermann	Manager - International sales	He brings in more than two decades of marketing experience. He was earlier associated with P&G, Nestle, Mars, Unilever etc.
Stefen Storgaard	VP - Sales (EU)	He brings in more than two decades of experience in B2B sales of technical products in the food industry. He was earlier associated with AAK as Director Global Marketing and New Product Development.
Jonas Bobou Bayoulou	AVP - Coordinator	He brings in four decades of experience. He was previously associated with SOFITEX (the largest cotton company in Africa), SAPHYTO (crop protection), and AFRIDIA (a beverage company).

Source: Company, Ambit Capital research

Exhibit 84: Manorama's investment in team building is visible in rising employee cost



Source: Company, Ambit Capital research

Exhibit 85: The board has 50% representation of independent directors with diverse experience

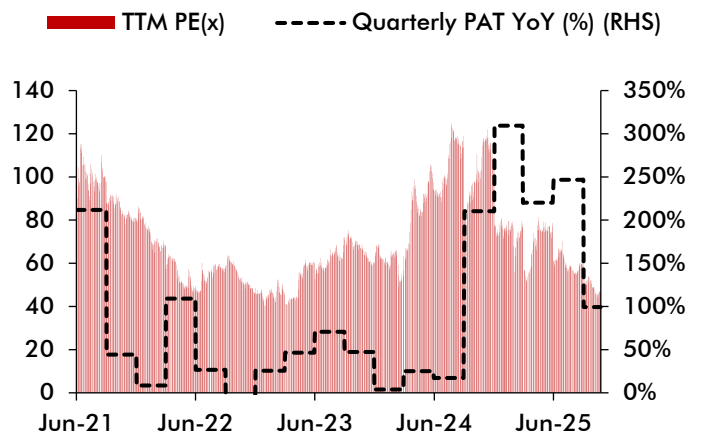
Name	Designation	Age	Brief Description
Ashish Saraf	Chairman and Managing Director (w.e.f. Oct 23, 2024)	55	He is the company's promoter. He holds a B. Com degree and has over 34 years of experience in the specialty fats and butters manufacturing sector. He has been leading operations since the company's inception.
Vinita Saraf	Vice Chairperson and Whole-Time Director (w.e.f. Oct 23, 2024)	55	She holds a bachelor's degree in commerce. She is the wife of Ashish Saraf. She has over two decades of experience in the fats and butter industry.
CA Ashok Jain	Whole-Time Director and Chief Financial Officer (CFO)	42	He is a Chartered Accountant by profession with a bachelor's degree in commerce. He has 15 years of experience in senior management at the company.
Shrey Saraf	Whole-Time Director	31	He holds a BBA in Business and Management from the University of Exeter, UK. He has over 7 years of experience. His presence strengthens the Marketing, Customer, and Business Development processes. He is related to Ashish Saraf (father) and Vinita Saraf (mother).
Gautam Kumar Pal	Whole-Time Director (w.e.f. Oct 23, 2024)	51	He holds a Doctorate in Management and is a B. Tech in Chemical Engineering. He has experience in Specialty Oil and Fats/Butters Manufacturing and Quality Control. He previously served as Managing Director until October 23, 2024.
Jose Joseph	Independent Director	67	He retired as the Executive Vice President from The Federal Bank. He has experience in corporate, SME, and Retail banking in India and the Middle East.
Mudit Kumar Singh	Independent Director	64	He is a senior retired bureaucrat from the 1984 Batch of the IFS, Chhattisgarh Cadre. His wide experience in forestry is an asset.
Nipun Mehta	Independent Director	62	He is a Chartered Accountant and an expert in Financial Markets. He has entrepreneurial and corporate experience in Private Banking, Capital Markets & Wealth Management.
Veni Mocherla	Independent Director	49	She holds an MBA and a Postgraduate degree from the Chartered Institute of Marketing, UK. She held senior roles at the Dept. of Trade & Investment, the British High Commission, and Bristol Myers Squib in India.
Subhaprada Nishtala	Independent Director	49	She holds a master's in science in Food Technology and has over 25 years of leadership experience in food processing industry.

Source: Company, Ambit Capital research

Growth + RoCE = Valuation

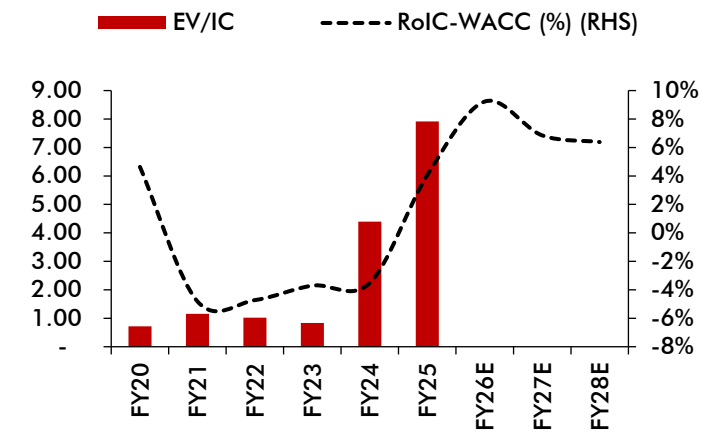
Step-up in RoCE and consistent growth have led to value creation by Manorama Industries. Stock trades at 27x FY28 P/E (45x TTM P/E), and we are valuing it at 35x FY28, factoring in a 40% PAT CAGR supported by entry into new markets, order visibility, and capacity expansion. The market is concerned that a cocoa price correction would have an earnings impact on Manorama. CBE prices have already come down in 1HFY26. Based on our estimates, a 10% decline in CBE prices would impact gross margins by 130bps, provided shea nut prices remain at current levels of US$1.1/kg, compared to US$0.6-0.7/kg earlier. If backward integration in Africa brings down shea nut costs back to earlier levels, then the CBE price decline of 10% doesn't have a material impact. Our estimates indicate a 25% sustainable margin for the business (1HFY26: 27%), and we factor in the same over FY27-28. We remain confident in the global opportunities that lie ahead for Manorama and in management's capability to execute them successfully.

Exhibit 86: Trades at 45x TTM P/E



Source: Company, Ambit Capital research

Exhibit 87: Value creation over the last two years was supported by RoIC expansion



Source: Company, Ambit Capital research

Exhibit 88: We build in 37% revenue growth over FY25-28

Assumptions	FY20-25	FY25-28	FY25-40
Sales CAGR	33%	37%	29%
EBITDA CAGR	34%	38%	29%
Wcap/sales	75%	67%	60%
Capex/GB - median	40%	35%	16%
Capital turnover - median	0.9	1.1	1.2
EBITDAM - median	16.6%	24.7%	24.7%
Cost of Equity			14%
WACC			12%
Terminal growth			6%

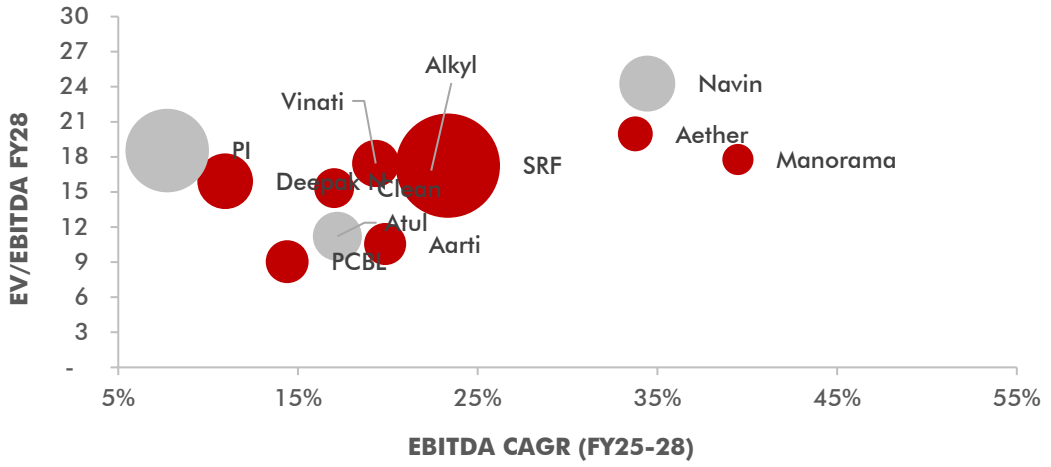
Source: Company, Ambit Capital research

Exhibit 89: Implies 35x FY28E P/E

Output	PV
Total PV of FCFF	24,839
Terminal Value	86,936
Enterprise Value	111,775
Net debt	6,073
Equity value	105,703
Share Price	**1,774**
Implied P/E FY28	35

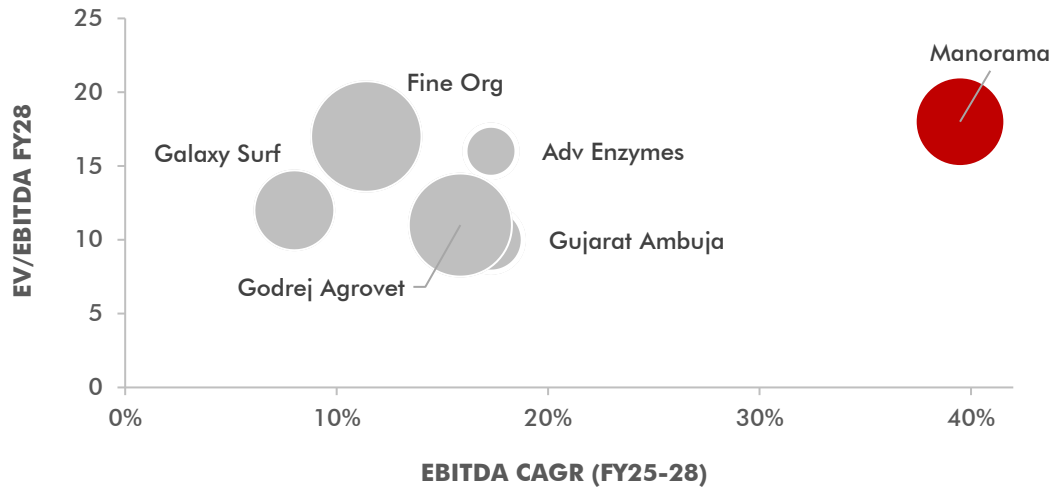
Source: Company, Ambit Capital research

Exhibit 90: Manorama offers best growth visibility in the broader chemical universe...



Source: Company, Ambit Capital research, Red are rated rest N/R

Exhibit 91: ..and within a similar chemical/agro-based functional food additive space



Source: Company, Ambit Capital research, All except Manorama N/R

Exhibit 92: Manorama scores high on innovation while architecture and strategic assets continue to develop

Specialty additive	Innovation	Brand	Architecture	Strategic assets	Overall	Remarks
Fine Org (Mcap ₹134bn)	●	●	●	●	●	Fine Org manufactures oleochemical-based additives for food, polymers, cosmetics, etc. The company enjoys strong brand value in the food and polymer additive markets. Customer relationships are sticky and approval cycles are lengthy.
Manorama Ind (Mcap ₹80bn)	●	◐	◕	◕	◕	Manorama scores high on innovation, having built a high-value specialty oil/fat business in India and competing with global giants like AAK, Bunge, etc. Strategic asset scores well following recent entry into the LatAm market, supported by an experienced business development team.
Gujarat Ambuja Exports (Mcap ₹52bn)	◕	◐	◕	●	◕	Gujarat Ambuja is a leading agro-commodity processor in the country, with a focus on maize, where it commands ~20% market share. Product quality and customer relationship are critical. The presence of manufacturing assets across six key states provides a competitive edge.
Advanced Enzymes (Mcap ₹35bn)	◕	◕	●	◕	◕	Advanced Enzymes focuses on enzymes and probiotics for human and animal use. Business finds its moat in customer relationships and in high R&D investments to support customers' evolving needs.
Vidhi Specialty (Mcap ₹18bn)	●	◕	◕	●	●	Vidhi manufactures synthetic/natural colours used in food, pharma, confectionery etc. Exports account for ~80% of revenue, with products approved by the US FDA and the EU Commission. Stringent manufacturing practices and product quality are critical.

Source: Company, Ambit Capital research, Note: ● - Strong; ◕ - Relatively Strong; ◐ - Average; ◔ - Relatively weak

Exhibit 93: Relative valuations – specialties valuations to step-up on roll-over to FY28

India Chemicals	Mcap (US$ mn)	Ambit's Stance	CMP (₹)	TP (₹)	Upside (%)	P/E (x)			EV/EBITDA (x)			CAGR (FY25-28E)		
						FY26E	FY27E	FY28E	FY26E	FY27E	FY28E	Sales	EBITDA	PAT
Specialty														
SRF *	9,435	BUY	2,861	3,600	26%	42	32	26	24	19	16	16%	27%	37%
Linde India	5,513	NR	5,810	-	-	101	68	54	56	34	28	26%	32%	34%
Gujarat Fluorochemicals	4,186	NR	3,425	-	-	47	34	27	26	20	16	21%	26%	36%
BASF India	1,988	NR	4,128	-	-	48	28	21	29	19	15	5%	15%	22%
Vinati Organics *	1,820	BUY	1,578	2,111	34%	33	27	22	23	19	15	19%	22%	23%
Fine Organic	1,502	NR	4,404	-	-	31	29	25	23	21	17	10%	11%	9%
Anupam Rasayan	1,535	NR	1,211	-	-	93	60	44	31	26	22	24%	19%	49%
Aether Industries *	1,282	BUY	869	950	9%	56	38	30	35	25	20	33%	35%	35%
Clean Science *	1,061	BUY	898	1,400	56%	33	26	20	23	19	15	24%	19%	22%
Alkyl Amines *	945	BUY	1,660	2,190	32%	39	27	22	28	20	16	17%	26%	28%
Manorama Industries *	889	BUY	1,334	1,774	33%	40	33	27	26	21	17	37%	38%	40%
Galaxy Surfactants	792	NR	2,007	-	-	25	21	19	14	12	11	10%	8%	8%
Tatva Chintan	375	NR	1,440	-	-	72	46	38	35	24	20	26%	70%	150%
Rossari Biotech	372	NR	603	-	-	22	18	15	12	10	9	15%	17%	19%
Neogen Chemicals	323	NR	1,100	-	-	70	42	22	28	17	10	45%	43%	55%
Median						**42**	**32**	**25**	**26**	**20**	**16**	**21%**	**26%**	**34%**
Agchem														
Coromandel International	7,703	NR	2,347	-	-	30	25	21	20	17	14	11%	21%	18%
UPL	7,016	NR	748	-	-	26	17	13	10	9	8	8%	13%	76%
PI Industries	5,711	NR	3,383	-	-	32	29	26	22	20	18	8%	7%	6%
Sumitomo Chemical India	2,553	NR	460	-	-	37	31	28	30	25	23	11%	15%	17%
Bayer CropScience	2,302	NR	4,603	-	-	32	28	24	24	21	18	8%	18%	14%
Sharda Cropchem	869	NR	866	-	-	15	14	12	8	7	6	15%	24%	32%
Dhanuka Agritech	623	NR	1,243	-	-	19	16	14	13	11	10	11%	9%	10%
Rallis India	578	NR	267	-	-	27	22	18	14	11	10	11%	20%	33%
Astec Lifesciences	197	NR	794	-	-	NA	49	24	53	25	17	27%	NA	NA
Median						**28**	**25**	**21**	**20**	**17**	**14**	**11%**	**16%**	**18%**
Bulk/Basic														
Deepak Nitrite *	2,309	SELL	1,521	1,800	18%	34	27	21	23	15	11	12%	27%	13%
Tata Chemicals	2,239	NR	790	-	-	30	22	19	12	10	9	5%	15%	78%
Atul	1,894	NR	5,782	-	-	27	22	19	15	12	11	13%	17%	21%
Aarti Industries *	1,521	BUY	377	510	35%	28	23	17	15	11	9	16%	24%	34%
PCBL Chemical *	1,328	BUY	316	500	58%	27	17	13	14	11	9	9%	15%	29%
Sudarshan Chemical	889	NR	1,016	-	-	61	27	18	15	11	9	50%	42%	101%
Laxmi Organic	557	NR	181	-	-	41	33	25	20	15	12	13%	13%	21%
Chemplast Sanmar	498	NR	283	-	-	(55)	30	17	24	10	8	12%	50%	NA
NOCIL	312	NR	168	-	-	39	26	20	21	14	12	7%	17%	11%
Median						**30**	**26**	**19**	**15**	**11**	**9**	**12%**	**17%**	**25%**

*Source: Company, Ambit Capital research, *Note: These stocks are under Ambit's coverage and have taken Ambit's estimates.*

Risks & Catalysts

Risks

The agro-commodity market is volatile

Global agro and agro-commodity markets are volatile. It is prone to weather or pest infestations, as we saw in the cacao market. Also, the supply chain plays a crucial part in sourcing raw materials from export markets. Any such event can adversely impact input prices and the business's profitability.

Regulatory headwind in African market

Local governments in Nigeria, Ghana, and Burkina Faso have been limiting the export of raw shea nuts and asking companies to add value to support local industry and employment. Shea nut prices have risen to US$1.1 from US$0.7 over the last 12 months. Whilst global players, including Manorama, have indicated their investments in local processing units in these markets, the regulatory framework in the African market has a history of unexpected announcements.

Working capital remains sticky

Manorama is growing faster than its RoCE and would need capital infusion if its working capital remains volatile. Whilst we are expecting it to stabilize around 220-250days (1HFY26: 194 days), any further volatility would need capital infusion.

Catalysts

Ramp-up in LatAm market

Given the recent developments around team building and the orderbook position in the LatAm market, we believe the contribution from the LatAm market would positively surprise the market.

Brownfield expansion of fractionation capacity

Current capacities have ramped up to 70% utilization, limiting growth visibility in FY27. Management's plan to de-bottleneck capacity by the end of FY26 to improve the growth visibility for the next fiscal.

Fading investor concerns

Investors are primarily concerned about earnings volatility given that cocoa prices are falling amid improving crop availability for the upcoming season. We believe conversion margins in shea-based CBE haven't materially changed despite higher cocoa prices. Margin improvement was driven by operating leverage. Stable margins would alleviate investors' concerns in the coming years.

Exhibit 94: Explanation to our flags on the first page

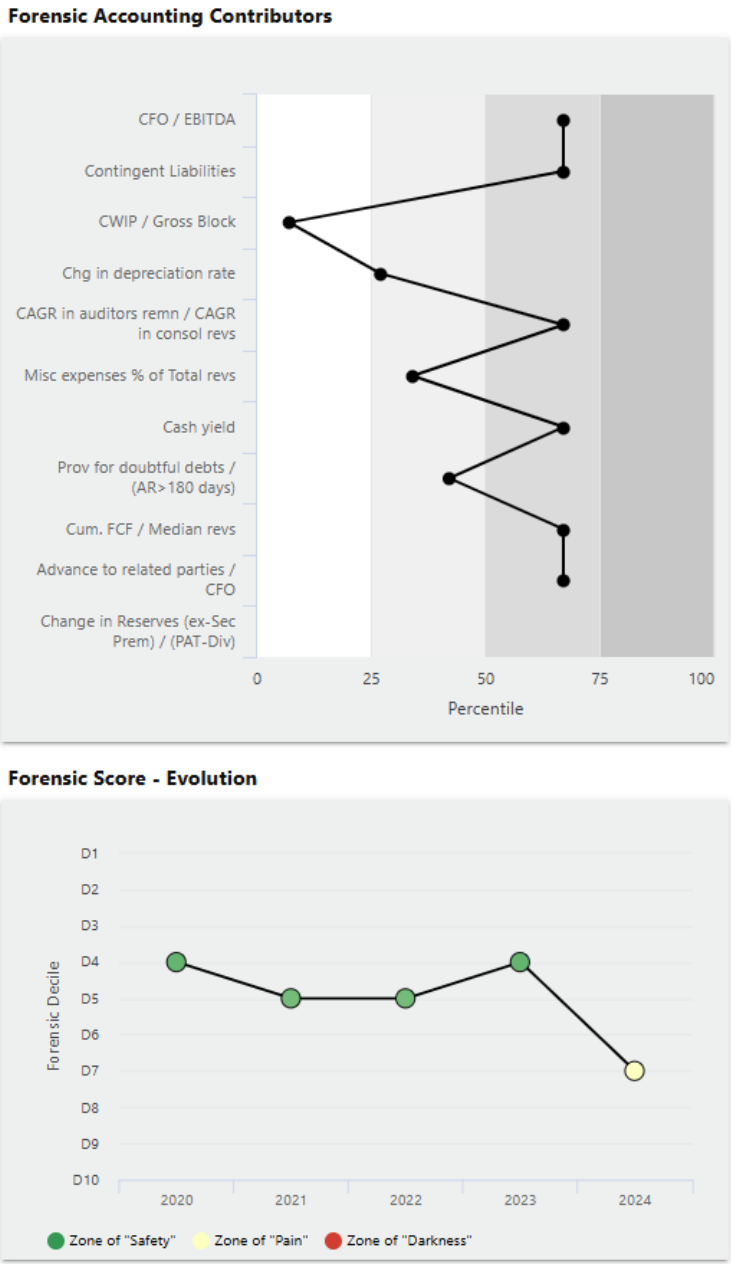
Particulars	Flag	Remark
Accountability	AMBER	Manorama gets penalized on our HAWK framework because of low capital turns and volatile cash flows due to working capital. Working capital is stabilizing with scale and improving product mix, and would also reflect on the improvement in capital turnover of the business.
Predictability	AMBER	The agro-commodity nature of the product portfolio with multiple sub-segments makes near-term predictability difficult. However, management has been prudent in guiding the performance over the last two years.
Earnings momentum	GREEN	Earning momentum has been strong, with PAT rising by 5x over FY24-26.

Source: Company, Ambit Capital research

HAWK framework

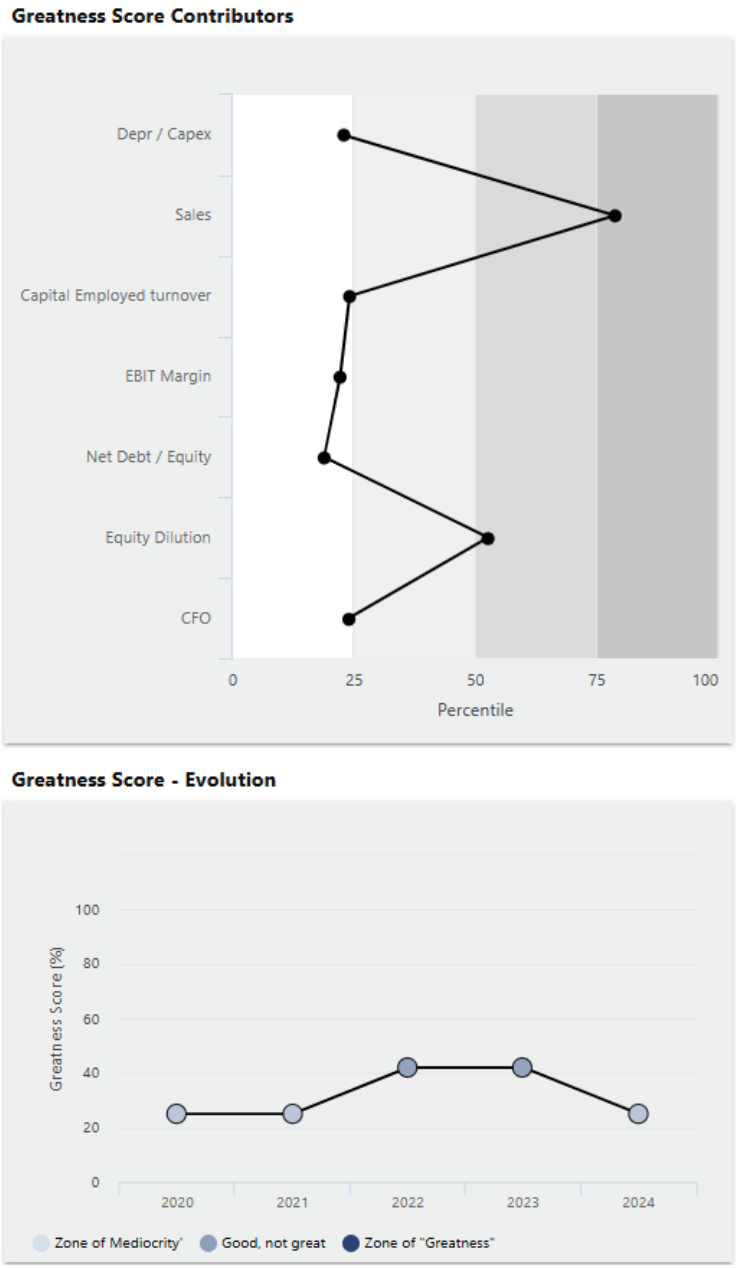
Manorama gets penalized primarily on account of a) volatile cash flows, b) ongoing capacity expansion, and c) low capital turnover. Working capital in the business is high due to raw material seasonality and this also reflects on low capital turnover of the business. We believe capital turnover would gradually improve with improving product mix. CWIP is already down in FY25.

Exhibit 95: Forensic score- Evolution chart



Source: Company, Ambit Capital research

Exhibit 96: Greatness score- Evolution chart



Source: Company, Ambit Capital research

Exhibit 97: Manorama ranks D7 'Zone of Pain' on our Forensic accounting framework

Accounting checks	Flags	Manorama Industries						Median peers				
		FY15-20	FY21	FY22	FY23	FY24	FY25	FY21	FY22	FY23	FY24	FY25
P&L mis-statements checks	AMBER											
Pre-tax CFO/EBITDA		19%	121%	-56%	126%	-188%	-15%	79%	54%	93%	94%	95%
Volatility in dep rate (bps)		(139)	34	(122)	(228)	(78)	128	78	(28)	(24)	(16)	14
Provision for doubtful debts as a % of debtors o/s over 6 months		0%	8%	19%	57%	43%	4%	0%	24%	46%	34%	7%
Balance sheet mis-statement checks	GREEN											
Cash yield		7%	13%	4%	6%	7%	10%	7%	12%	5%	8%	8%
Contingent liabilities as a % of net worth		0%	0%	0%	0%	0%	3%	2%	0%	0%	0%	0%
Specific cash outflows checks	AMBER											
Miscellaneous expenses as % of total revenues		0%	0%	0%	0%	1%	1%	1%	1%	1%	2%	1%
Capital work in progress/gross block		1%	0%	65%	43%	26%	2%	16%	11%	15%	14%	11%
FCF/revenue		-3%	14%	-33%	2%	-42%	-12%	18%	-2%	8%	1%	0%
Related parties sales/overall sales		0%	0%	0%	0%	0%	0%	1%	0%	0%	0%	0%
Related parties purchased/overall COGS		0%	6%	53%	36%	78%	61%	0%	0%	0%	0%	0%
KMP Remuneration as % of PAT		11%	13%	8%	11%	9%	8%	7%	7%	8%	6%	7%
Group assets as % of total assets		100%	100%	100%	100%	100%	100%	100%	94%	96%	97%	100%
Audit quality checks	GREEN											
Non-audit fees as proportion of total fees (standalone)		0%	0%	0%	0%	0%	0%	1%	19%	9%	26%	12%
% assets not audited by main auditor		0%	0%	0%	0%	0%	0%	0%	6%	4%	3%	0%
% revenues not audited by main auditor		0%	0%	0%	0%	0%	2%	0%	0%	0%	0%	0%
Growth in revenue/growth in auditor remn. (standalone)		0%	0%	153%	89%	120%	278%	66%	147%	185%	98%	104%
Association (no.of years) with current auditor							1					
Qualification or Emphasis of matter (EOM) in audit report (Yes/No)		No	No	No	No	No	No					
Number of voluntary resignations		0	0	0	0	0	0					

*Source: Company, Ambit Capital research; Note: Peers includes Vinati Organics, Navin Fluorine, Clean Science, *gross block is ex of goodwill and freehold land*

Exhibit 98: High growth led by capacity ramp-up

Ratios (median/CAGR)	FY22-25	
	Manorama	Peer median
Sales growth	40%	12%
EBIT margins	13%	26%
EBIT growth	74%	6%
CE turns	0.8	0.8
CFO growth	19%	53%
Net debt/equity	0.5	(0.0)
Capex/depreciation	3.8	5.6
Equity dilution	0%	0%

Source: Company, Ambit Capital research; Note: Peers include Vinati Organics, Navin Fluorine, Clean Science

Exhibit 99: Higher women employees and lower attrition

Parameters	Unit	Flags	Manorama Industries				Sector median			
			FY22	FY23	FY24	FY25	FY22	FY23	FY24	FY25
Environment		GREEN								
Emission intensity	TCo2e/volume or TCo2e/₹mn		-	0.1	0.1	1.7	9.9	7.5	13.1	14.2
Water intensity	KL/volume or KL/₹mn		19.9	12.4	10.9	15.3	18.1	34.7	46.1	44.8
% of freshwater withdrawal in stressed locations	%									
Waste intensity	MT/volume or MT/₹mn		0.00	0.0	0.0	0.0	0.4	0.6	1.0	1.2
% hazardous waste in total waste	%		100%	100%	100%	69%	40%	79%	14%	25%
% waste NOT recycled/re-used	%		100%	100%	100%	100%	39%	15%	13%	19%
Social		GREEN								
Women participation - employees	% women employees/total employees		5%	6%	7%	9%	5%	5%	4%	4%
Women participation – workers	% women workers/total workers		0%	0%	0%	1%	0%	0%	0%	0%
Attrition - Permanent employees male	As mentioned in BRSR		4%	4%	1%	2%	13%	19%	17%	20%
Attrition - Permanent employees female	As mentioned in BRSR		0%	0%	0%	0%	15%	9%	13%	22%
Attrition - Permanent workers male	As mentioned in BRSR		2%	2%	0%	0%	7%	0%	7%	0%
Attrition - Permanent workers female	As mentioned in BRSR		0%	0%	0%	0%	0%	0%	0%	0%
Governance		AMBER								
Split of role - CEO/MD and Chairman (Yes/No)	NA		No	No	Yes	No				
% women directors on board	NA		22%	22%	22%	20%	17%	17%	17%	11%
Non ID on audit committee (Yes/No)	NA		Yes	Yes	Yes	Yes				
Median association (no. of years) of ID	No. of years					4.0				
Number of voluntary director resignations	Nos.		-	1.0	-	1.0				
Sitting fees -ID	₹mn		0.4	0.6	0.8	0.9	2.0	1.4	1.7	2.1
Sitting fees -NED	₹mn		-	0.0	-	-	0.6	0.7	0.9	0.9

Source: Company, Ambit Capital research; Note: Peers includes Vinati Organics, Navin Fluorine, Clean Science

Manorama Industries (MANORAMA IN, BUY)

Valuation Methodology

We factor in 29% revenue growth over the next decade and value the stock at 35x FY28. We assume 14% CoE, 12% WACC and 6% terminal growth in our estimates.

Risks

Key risks: a) volatile agro-commodity prices, b) unstable regulation in the African market and c) working capital remains sticky at FY25 levels.

Financials - CONSOLIDATED

Income statement

Year to March (₹ mn)	FY24	FY25	FY26E	FY27E	FY28E
Revenue	**4,571**	**7,708**	**12,041**	**15,679**	**19,795**
-growth (Rev)	30.3%	68.6%	56.2%	30.2%	26.3%
Gross profit	**2,069**	**3,732**	**5,840**	**7,369**	**9,304**
Gross profit growth	53.1%	80.4%	56.5%	26.2%	26.3%
Employee expenses	195	500	662	862	1,089
Other expenses	1,138	1,368	2,023	2,634	3,326
EBITDA	**735**	**1,864**	**3,155**	**3,873**	**4,889**
-growth (EBITDA)	30.2%	154%	69.2%	22.8%	26.3%
Depreciation	136	221	249	413	609
EBIT	**599**	**1,643**	**2,906**	**3,460**	**4,281**
-growth (EBIT)	31.4%	174%	76.9%	19.1%	23.7%
Other income	132	210	157	204	257
EBIT (including other income)	**731**	**1,853**	**3,062**	**3,664**	**4,538**
Finance costs	199	392	393	472	571
Profit before tax	**532**	**1,461**	**2,669**	**3,192**	**3,967**
Profit before tax (adjusted)	**532**	**1,461**	**2,669**	**3,192**	**3,967**
-growth (PBT)	23.5%	175%	82.7%	19.6%	24.3%
Tax	131	363	663	793	986
PAT	**401**	**1,098**	**2,006**	**2,399**	**2,982**
Profit after tax (adjusted)	**401**	**1,098**	**2,006**	**2,399**	**2,982**
-growth (PAT)	34.7%	174%	82.7%	19.6%	24.3%
Consolidated profit after tax	**401**	**1,098**	**2,006**	**2,399**	**2,982**
-growth (CPAT)	34.7%	174%	82.7%	19.6%	24.3%
EPS (basic) (₹)	6.7	18.4	34	40	50
EPS (diluted)	6.7	18.4	34	40	50

Source: Ambit Capital research, Company

Balance sheet

Year to March (₹ mn)	FY24	FY25	FY26E	FY27E	FY28E
Property, plant and equipment	1,293	1,762	2,620	4,413	5,949
Capital work in progress	419	47	24	11.8	5.9
Total fixed assets	**1,712**	**1,809**	**2,643**	**4,425**	**5,954**
Other non-current assets	94	123	123	123	123
Total non-current assets	**1,807**	**1,931**	**2,766**	**4,548**	**6,077**
Inventories	3,892	5,505	6,928	8,591	9,762
Trade receviables	418	1,017	1,649	2,148	2,712
Cash and cash equivalents	875	984	412	728	1,158
Other current assets	374	396	396	396	396
Total current assets	**5,560**	**7,902**	**9,385**	**11,863**	**14,028**
Total assets	**7,367**	**9,833**	**12,151**	**16,412**	**20,106**
Share capital	119	119	119	119	119
Other equity	3,251	4,478	6,443	8,794	11,721
Total equity	**3,370**	**4,597**	**6,562**	**8,913**	**11,841**
Long-term borrowings	507	440	440	440	440
Deferred payment liabilties	43	35	35	35	35
Long-term provisions	10.4	18.7	18.7	18.7	18.7
Other non-current liabilities	6.8	6.1	6.1	6.1	6.1
Total non-current liabilities	**568**	**500**	**500**	**500**	**500**
Short-term borrowings	2,956	4,383	4,551	6,361	7,015
Trade payables	401	145	330	430	542
Other current liabilities	70	136	136	136	136
Short term provisions	1.6	72	72	72	72
Total current liabilities	**3,429**	**4,736**	**5,089**	**6,998**	**7,765**
Total liabilities	**3,997**	**5,236**	**5,589**	**7,498**	**8,265**
Total equity and liabilities	**7,367**	**9,833**	**12,151**	**16,412**	**20,106**

Source: Ambit Capital research, Company

Cash flow statement

Year to March (₹ mn)	FY24	FY25	FY26E	FY27E	FY28E
Profit before tax	**532**	**1,461**	**2,669**	**3,192**	**3,967**
Depreciation	136	221	249	413	609
Interest expense	199	392	393	472	571
Working capital changes	(2,204)	(2,432)	(1,870)	(2,062)	(1,622)
Taxes	(149)	(295)	(663)	(793)	(986)
Other Items	(48)	83	-	-	-
Cash flow from operations	**(1,535)**	**(569)**	**778**	**1,221**	**2,539**
(Net) capital expenditure	(390)	(318)	(1,084)	(2,195)	(2,138)
Acq./(disp.) of Investments	(293)	(94)	-	-	-
Other items	63	76	-	-	-
Cash flow from investments	**(621)**	**(337)**	**(1,084)**	**(2,195)**	**(2,138)**
Net long-term borrowings	2,364	1,344	168	1,809	654
Interest paid	(199)	(389)	(393)	(472)	(571)
Dividends paid	(24)	(24)	(41)	(47)	(54)
Other items	-	(3.3)	-	-	-
Cash flow from financing	**2,141**	**927**	**(266)**	**1,290**	**29**
Opening cash balance	**18.8**	**4.2**	**984**	**412**	**728**
Net change in cash	**(14.7)**	**22**	**(572)**	**316**	**430**
Closing cash balance	**4.2**	**26**	**412**	**728**	**1,158**
Free cash flow to firm	**(1,925)**	**(887)**	**(306)**	**(974)**	**402**

Source: Ambit Capital research, Company

Preferred Ratios

Year to March (₹ mn)	FY24	FY25	FY26E	FY27E	FY28E
Gross margin	45.3%	48.4%	48.5%	47.0%	47.0%
EBITDA margin	16.1%	24.2%	26.2%	24.7%	24.7%
EBIT margin	13.1%	21.3%	24.1%	22.1%	21.6%
Net profit margin	8.8%	14.2%	16.7%	15.3%	15.1%
EPS (basic) (₹)	6.7	18.4	34	40	50

Source: Ambit Capital research, Company

Ratio analysis

Year to March (₹ mn)	FY24	FY25	FY26E	FY27E	FY28E
Gross margin	45.3%	48.4%	48.5%	47.0%	47.0%
EBITDA margin	16.1%	24.2%	26.2%	24.7%	24.7%
EBIT margin	13.1%	21.3%	24.1%	22.1%	21.6%
Net profit margin	8.8%	14.2%	16.7%	15.3%	15.1%
Interest cover	3.0	4.2	7.4	7.3	7.5
Net debt/equity	0.8	0.8	0.7	0.7	0.5
Net debt/EBITDA	3.5	2.1	1.5	1.6	1.3
Working capital turnover	1.2	1.2	1.5	1.5	1.7
Cash conversion days	312	302	250	240	220
Inventory days	311	261	210	200	180
Receivable days	33	48	50	50	50
Payable days	32	6.9	10.0	10.0	10.0
Gross block turnover	3.1	3.8	4.1	3.4	2.9
pre-tax CFO/EBITDA	(188%)	(14.7%)	45.7%	52.0%	72.1%
pre-tax RoCE	13.3%	22.7%	26.4%	23.3%	23.5%
post-tax RoCE	10.0%	17.1%	21.9%	20.1%	19.4%
pre-tax RoIC	12.6%	22.7%	29.6%	26.4%	25.8%
post-tax RoIC	9.5%	17.1%	22.2%	19.9%	19.4%
ROE (%)	12.6%	27.6%	36.0%	31.0%	28.7%

Source: Ambit Capital research, Company

Valuation parameters

Year to March (₹ mn)	FY24	FY25	FY26E	FY27E	FY28E
PE	198	72	40	33	27
EV/EBITDA	112	45	27	22	17.5
EV/EBIT	137	51	29	25	20
EV/sales	18.0	10.8	7.0	5.5	4.3
P/B	24	17.3	12.1	8.9	6.7

Source: Ambit Capital research, Company

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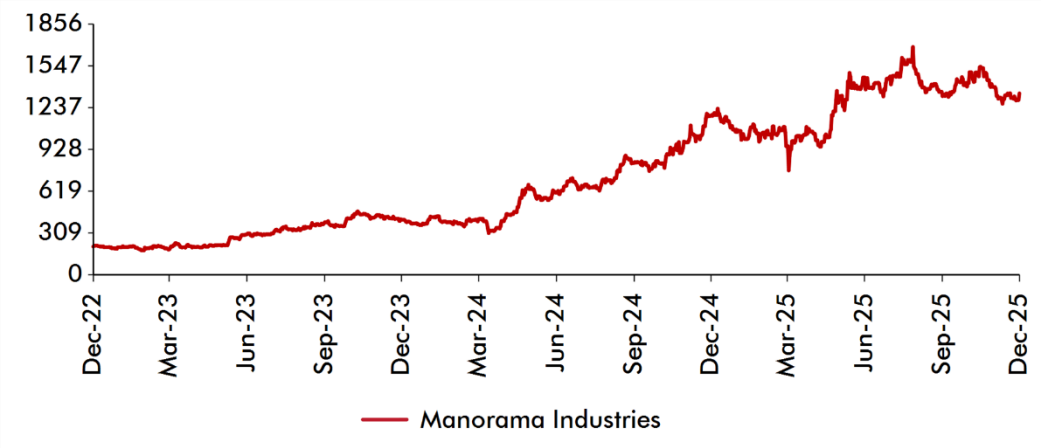

Source: ICE, Ambit Capital research

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